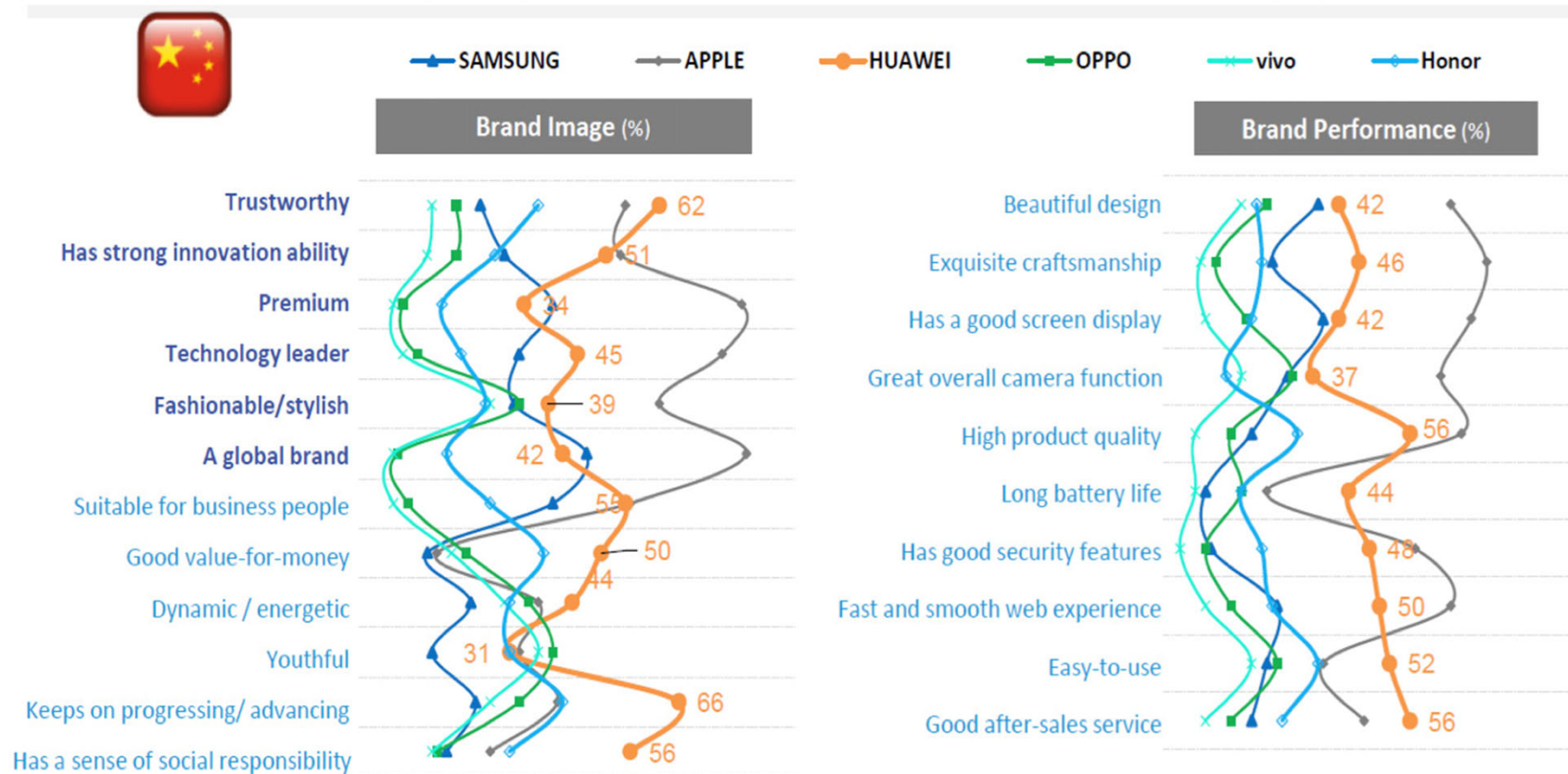


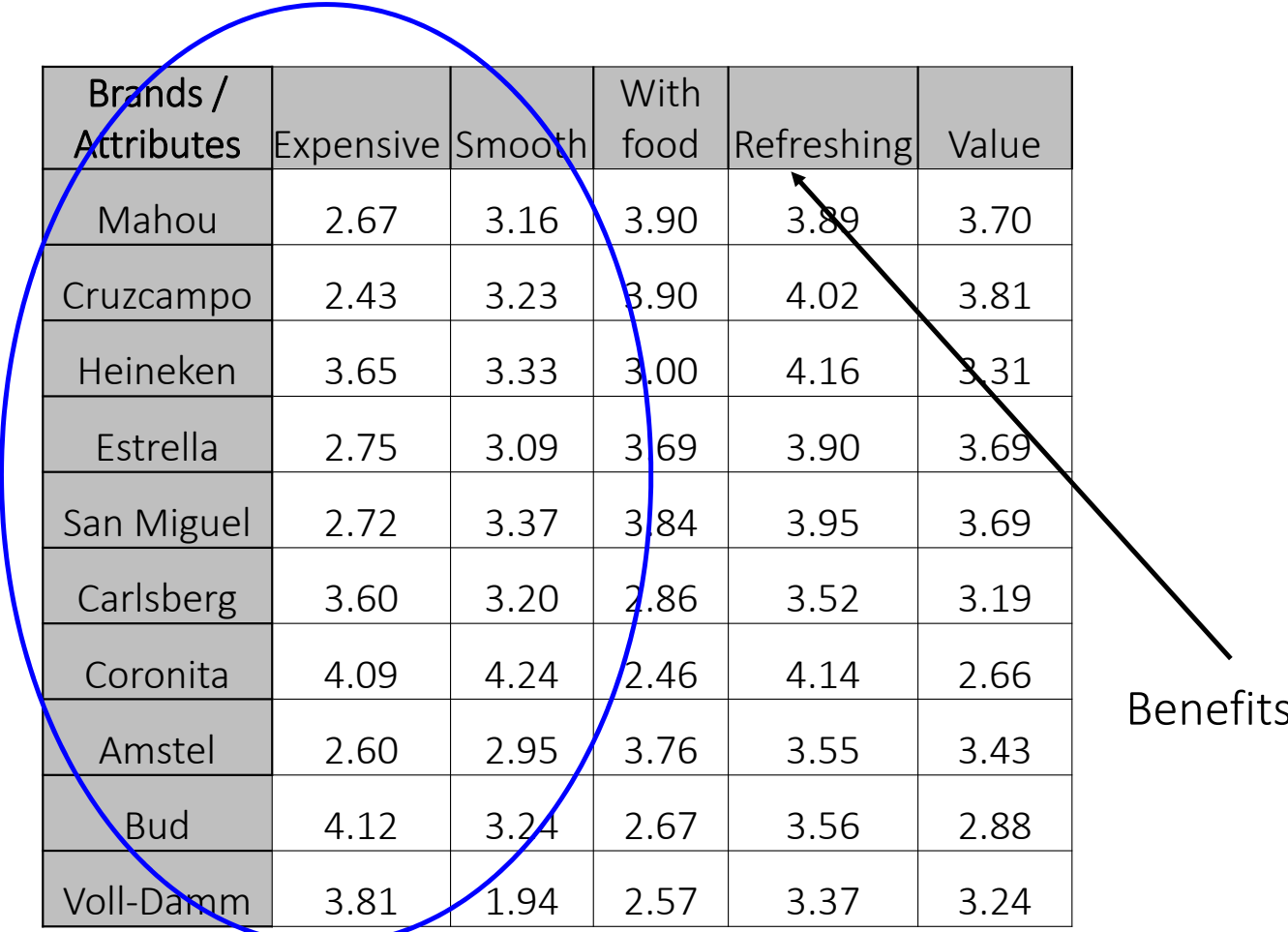
Marketing: Session 5

Further notes on Positioning

Perceptions when there more than 2 benefits: Huawei



Positioning of Beers when there more than 2 benefits: How do Perceptual Data look like?

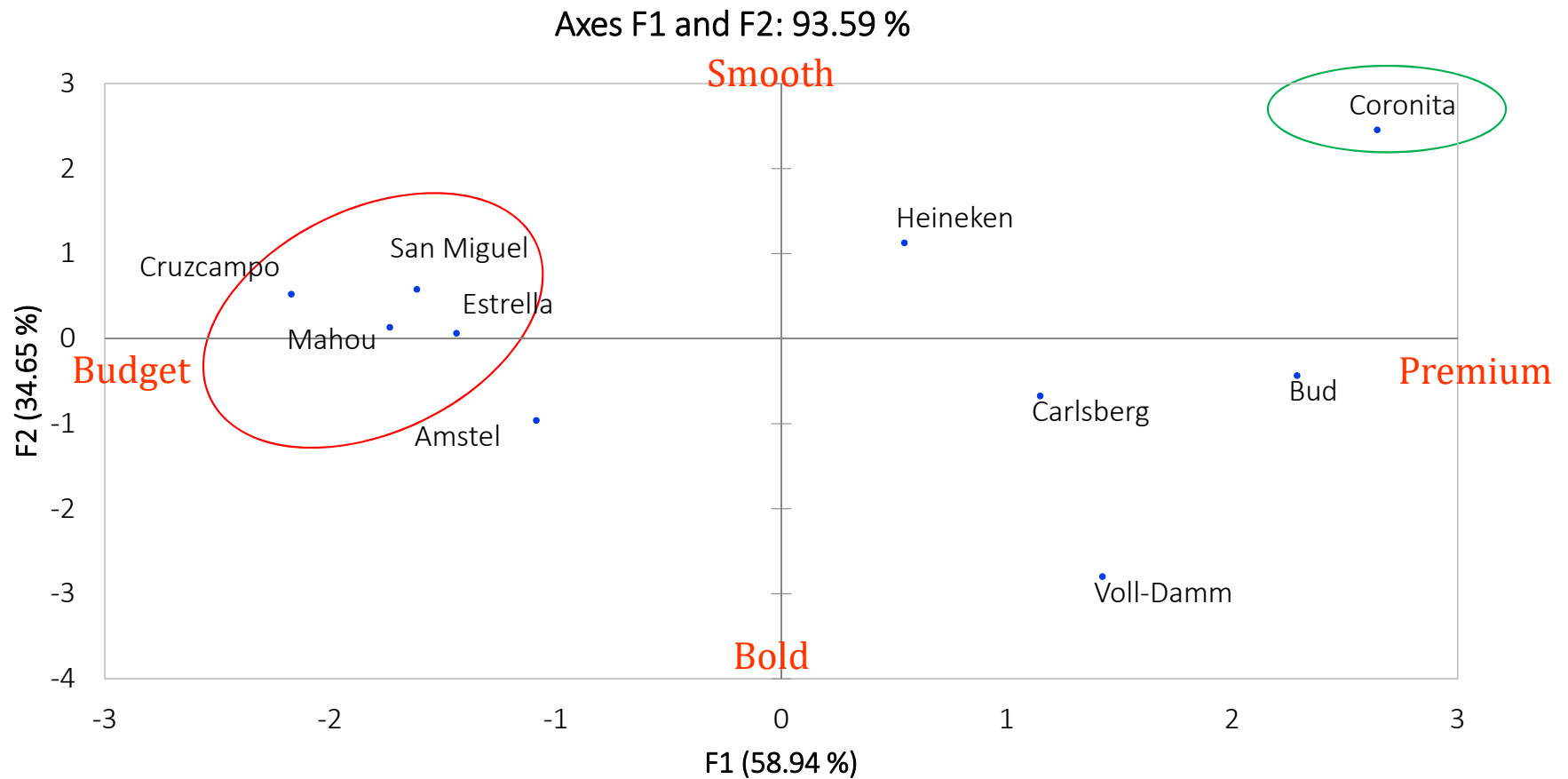


Brands / Attributes	Expensive	Smooth	With food	Refreshing	Value
Mahou	2.67	3.16	3.90	3.89	3.70
Cruzcampo	2.43	3.23	3.90	4.02	3.81
Heineken	3.65	3.33	3.00	4.16	3.31
Estrella	2.75	3.09	3.69	3.90	3.69
San Miguel	2.72	3.37	3.84	3.95	3.69
Carlsberg	3.60	3.20	2.86	3.52	3.19
Coronita	4.09	4.24	2.46	4.14	2.66
Amstel	2.60	2.95	3.76	3.55	3.43
Bud	4.12	3.24	2.67	3.56	2.88
Voll-Damm	3.81	1.94	2.57	3.37	3.24

Average score of each brand on each attribute computed across all respondents in your sample.

Benefits

Even with all that information, we can create a map like this:
All the information can be summarized in 2 axes



How did we do that?

- Consumer perceptions of 3 of the benefits – “expensive” (E), “value” (V) and “with food” (WF) have a high correlation (+ or –) with each other. These benefits are not highly correlated with perceptions of “smooth” (S) and “refreshing” (R). But the perceptions of these 2 are positively correlated
- The statistical approach “collapses” all the benefits into the 2 “benefit bundles” called “principal components” that are orthogonal to each other – the first depends mostly on E, V, WF and the second on S & R
- The picture shows the 2 main principal components that capture most of the variance in the data. In this case, 93% of the variance in the 3 benefits is explained only with 2 orthogonal benefits.

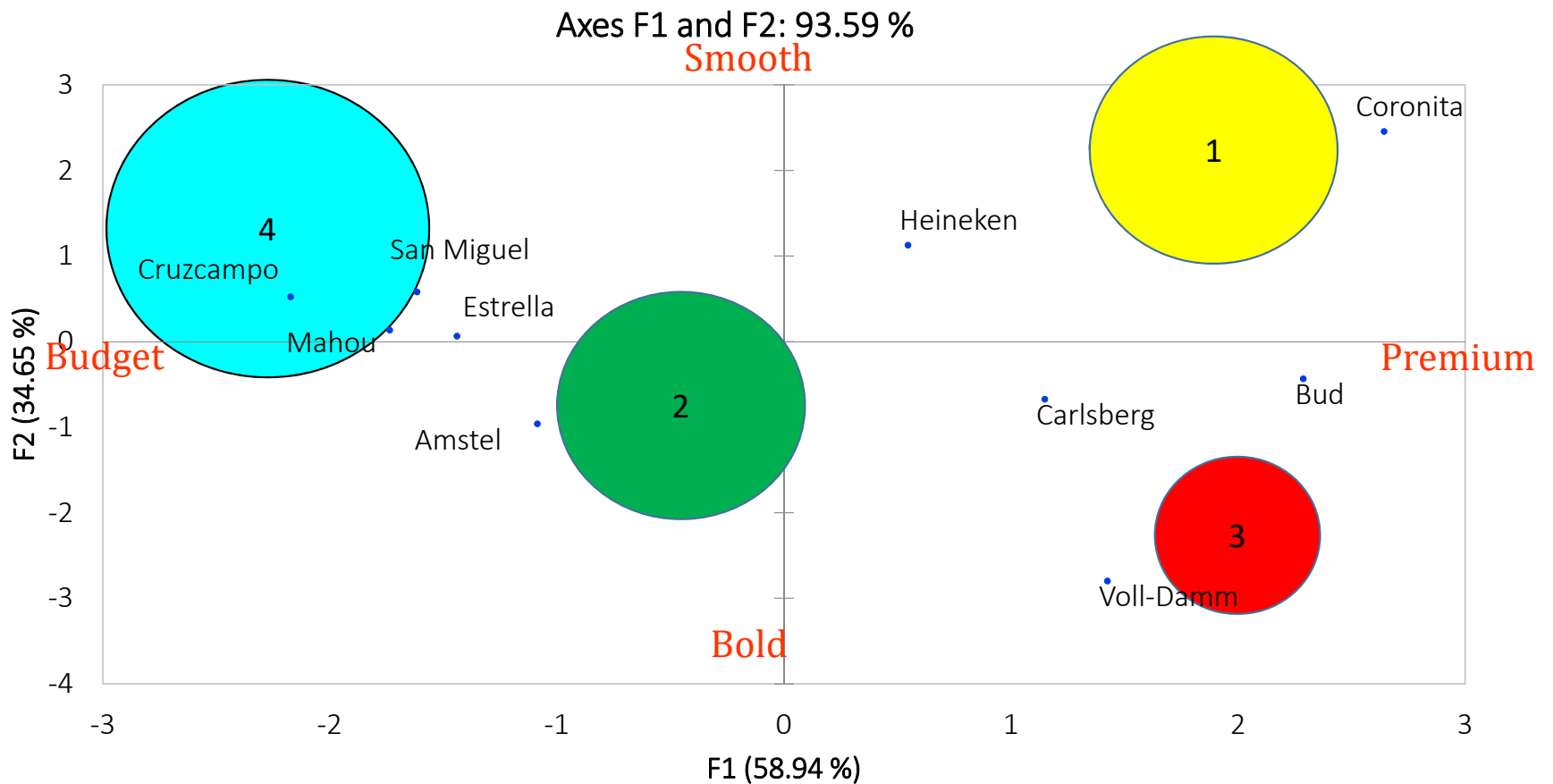
Positioning of Beers: Preference Data

Preference segment	P1	P2	P3	P4
Mahou	2.27	6.59	2.38	6.58
Cruzcampo	2.39	5.07	2.19	6.83
Heineken	7.91	5.75	4.13	4.24
Estrella	2.69	6.36	2.37	5.76
San Miguel	2.41	5.48	2.49	5.75
Carlsberg	4.58	5.07	6.17	3.88
Coronita	8.44	4.13	4.48	2.25
Amstel	2.60	6.68	4.08	4.60
Bud	5.44	4.07	6.27	3.05
Voll-Damm	4.20	4.66	6.62	2.69

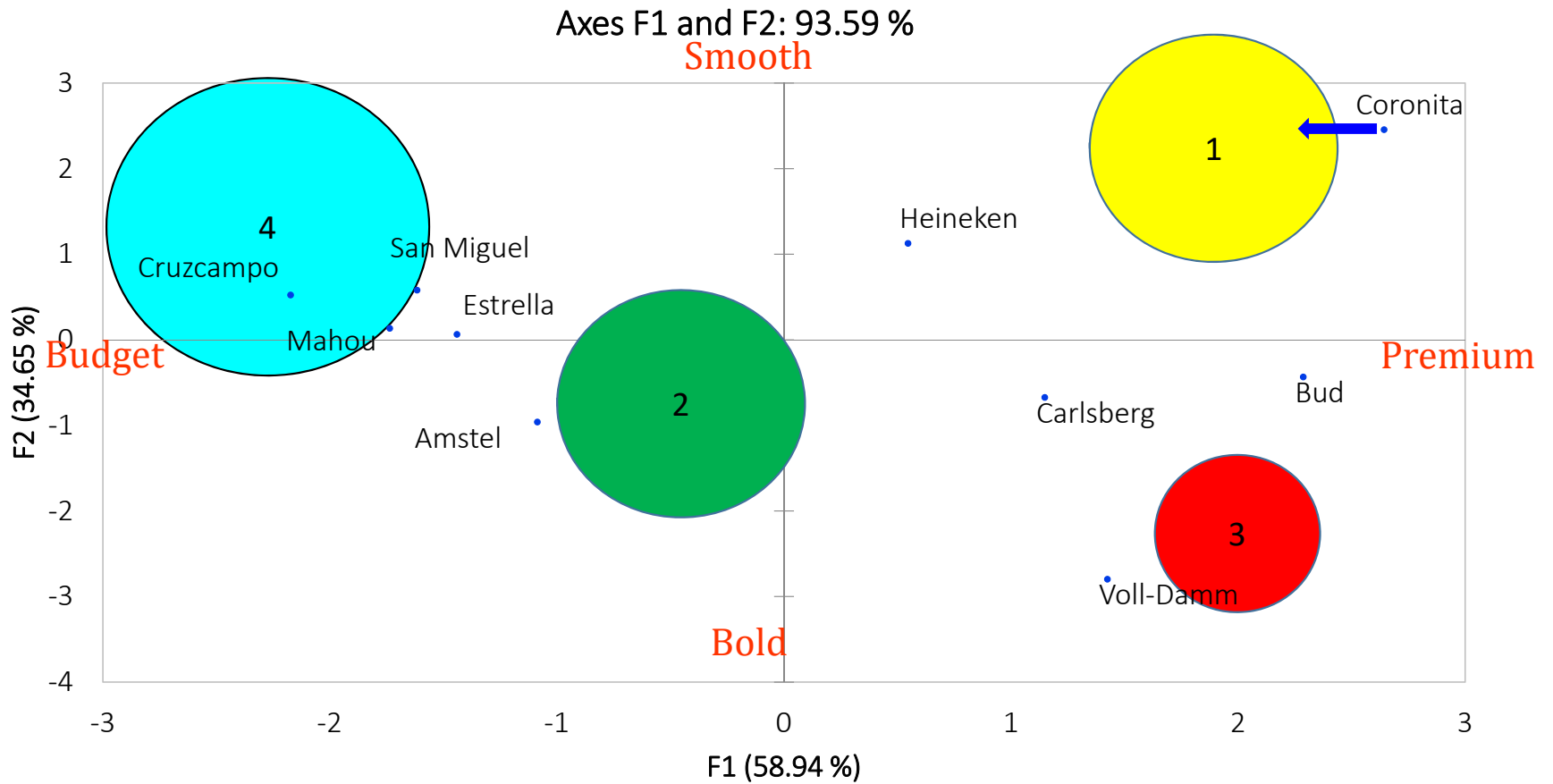
SIZE	25.00%	25.00%	15.00%	35.00%
------	--------	--------	--------	--------

Average score each brand achieves for consumers in each of 4 segments on a 10-point scale – Segments based on clustering preferences

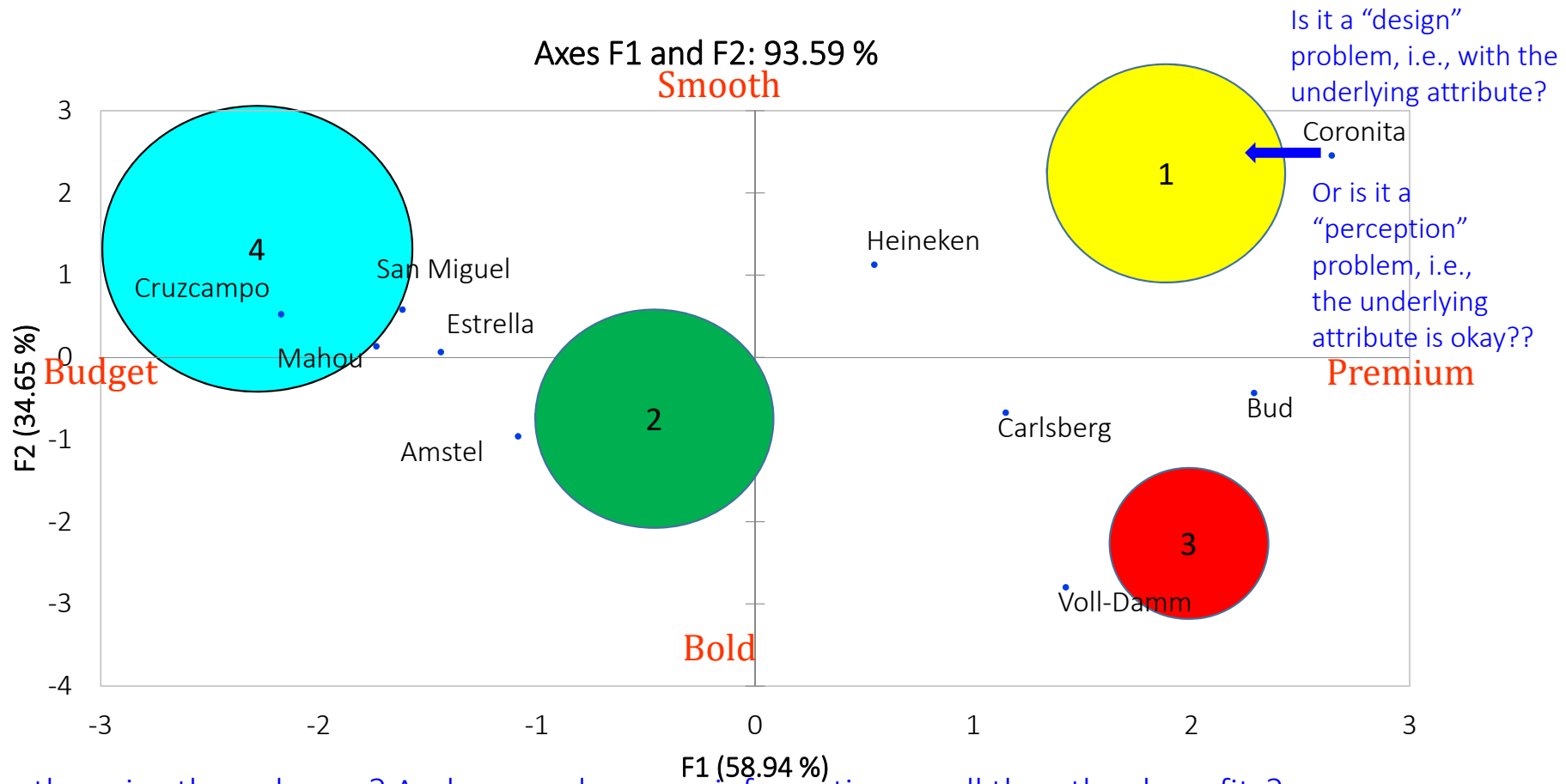
Segments are placed on the map based on which brands are rated highest by respondents in those segments



What must Coronita do?

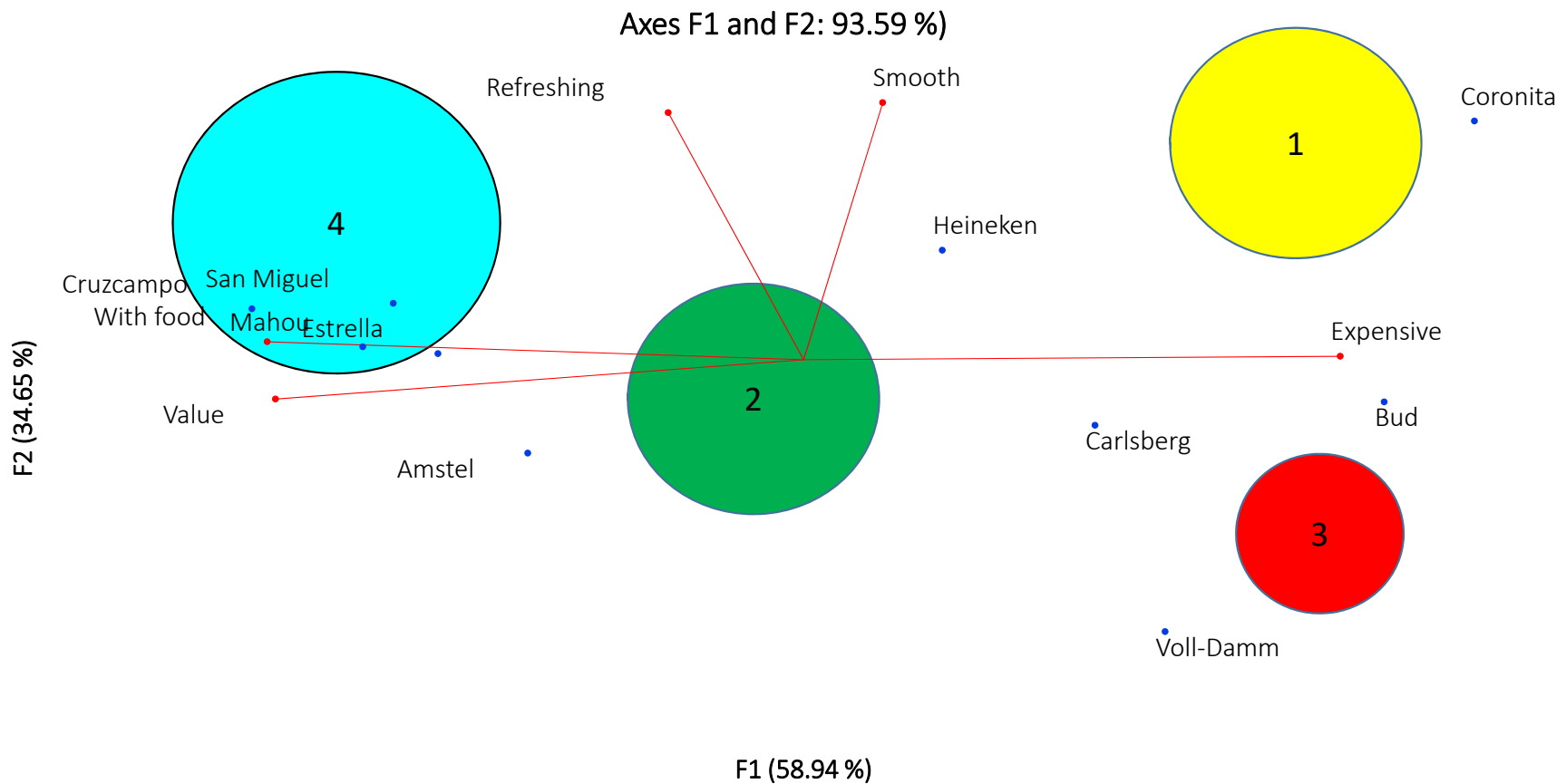


What must Coronita do?

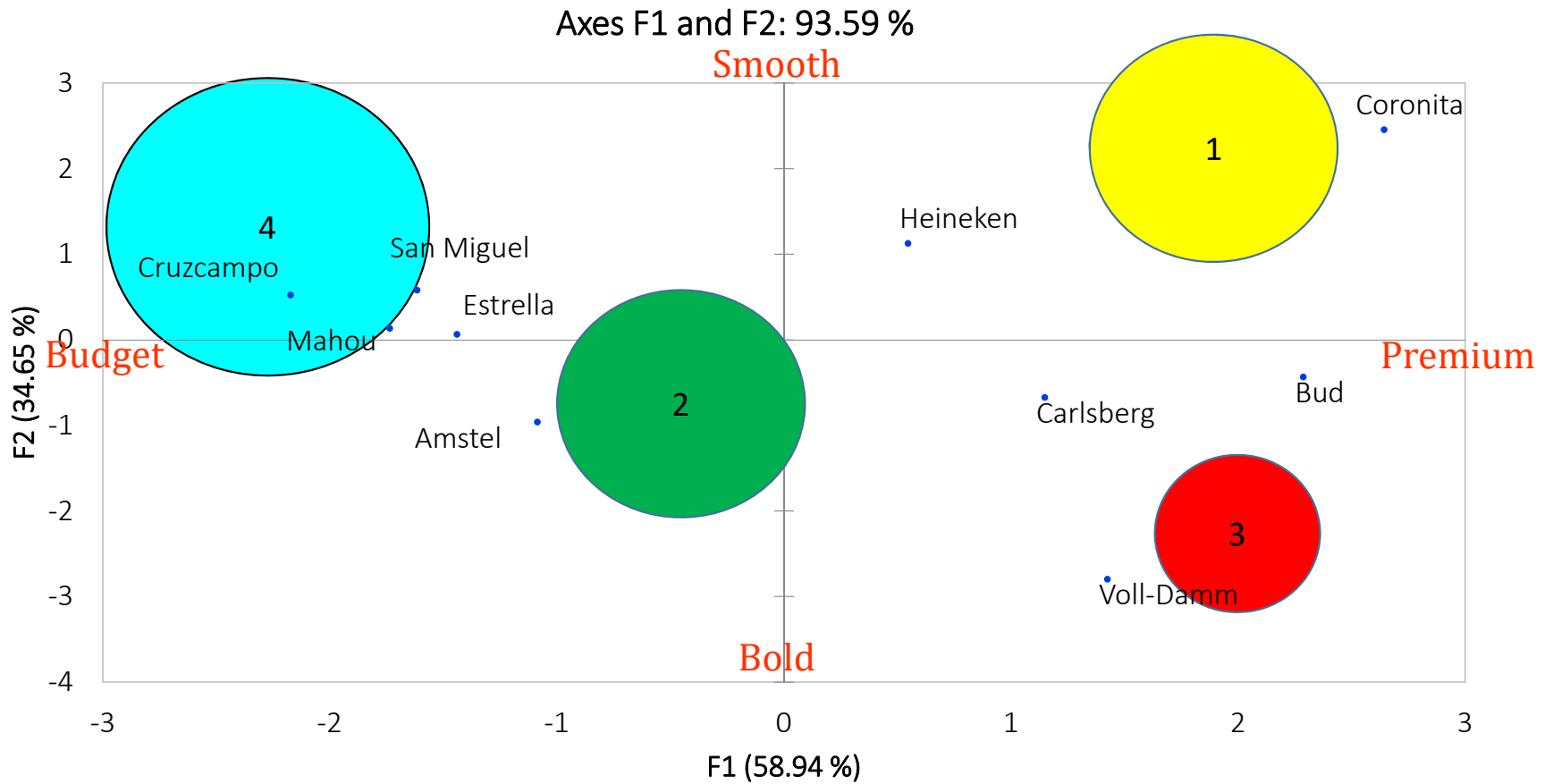


Is lowering the price the only way? And can we leverage information on all the other benefits?

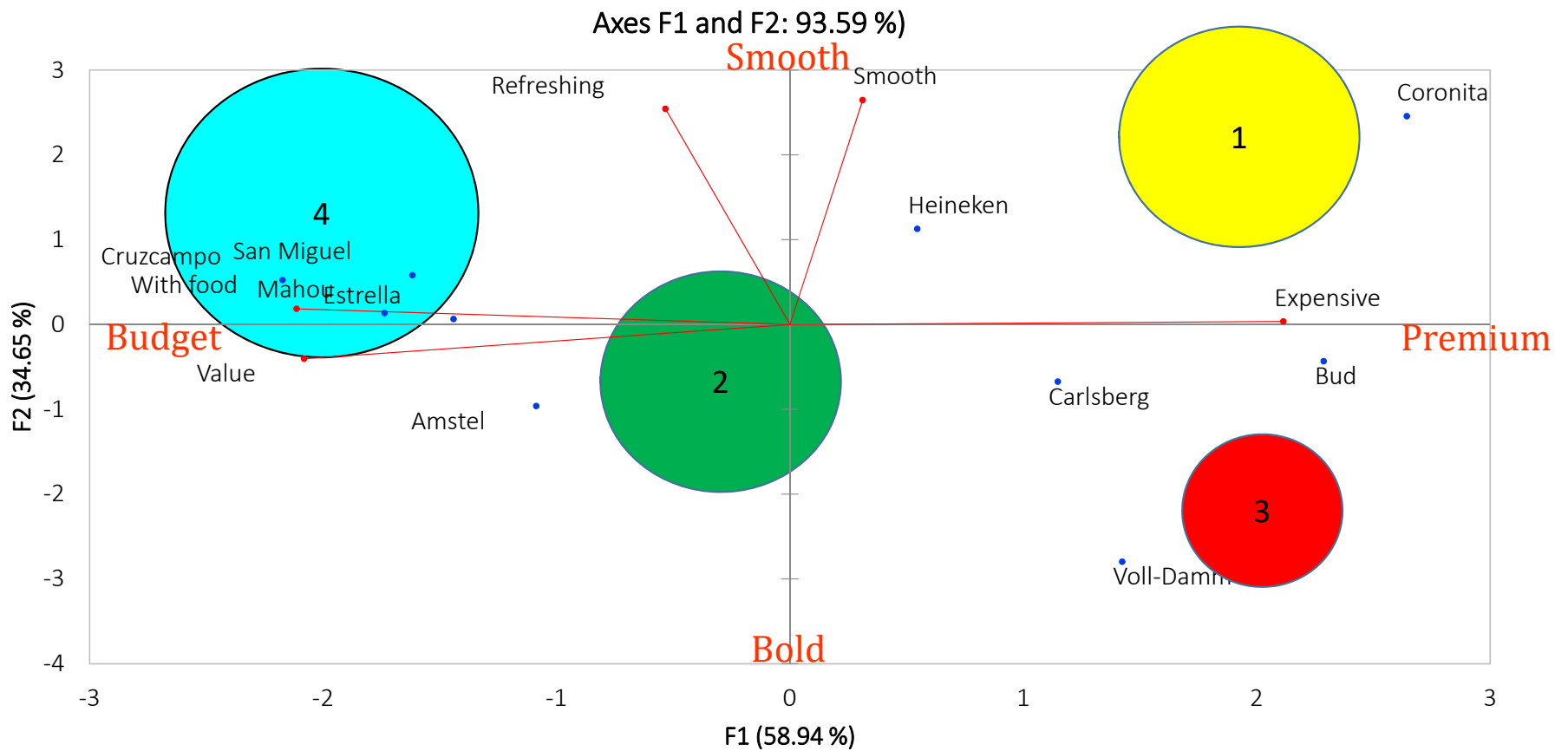
What happened to all the benefits? In reality they are all there and look like this



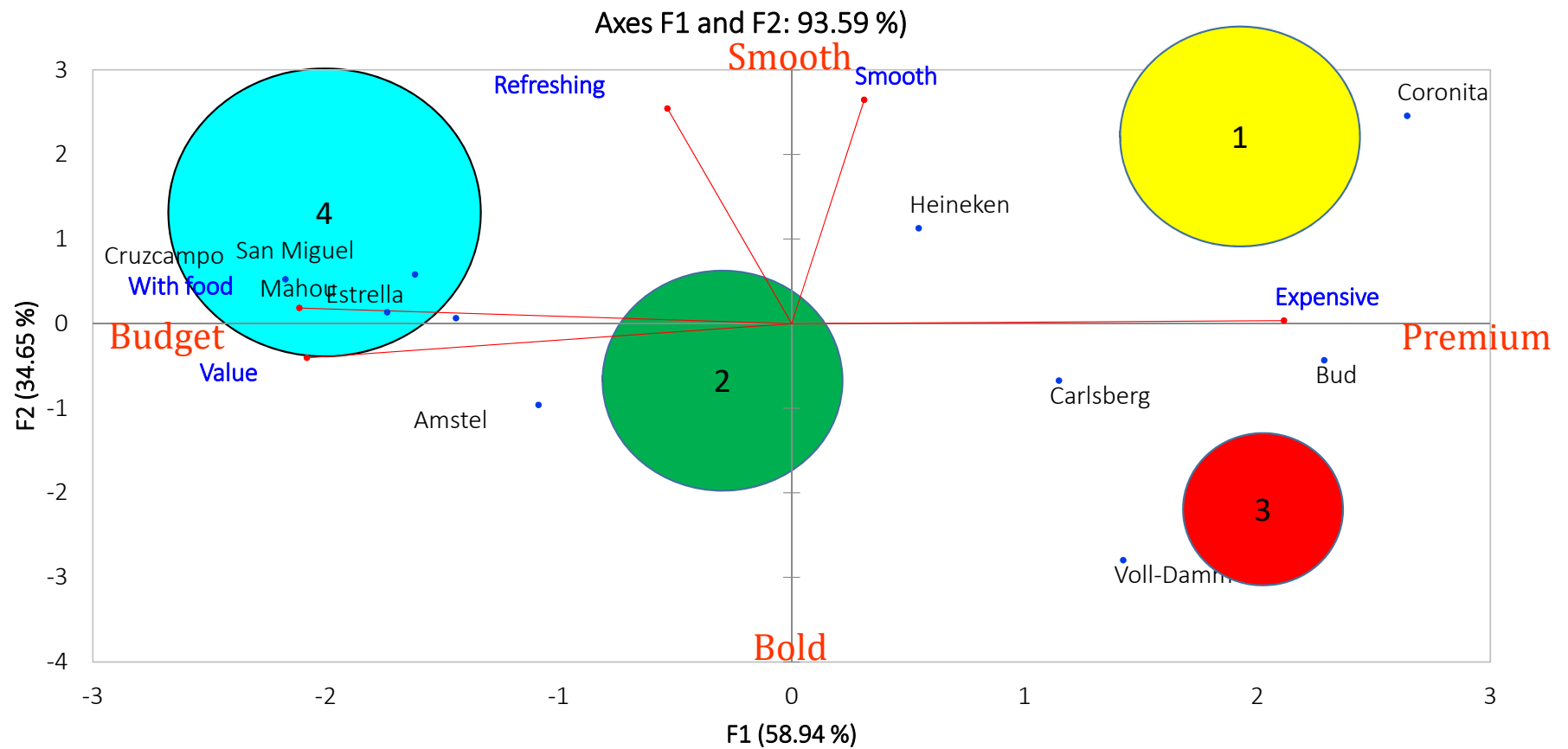
So where did this come from? “Benefit bundles”



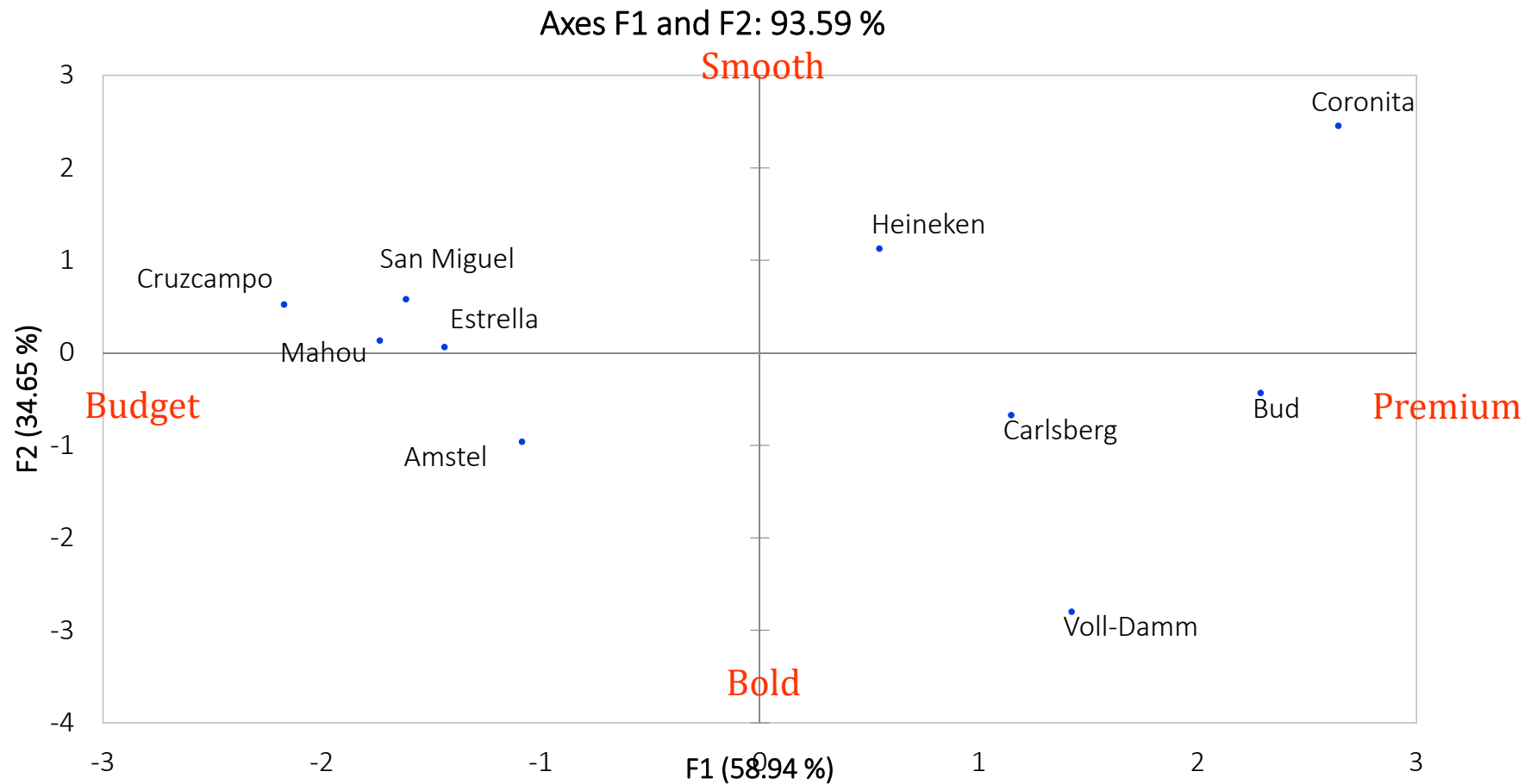
A complete perceptual map



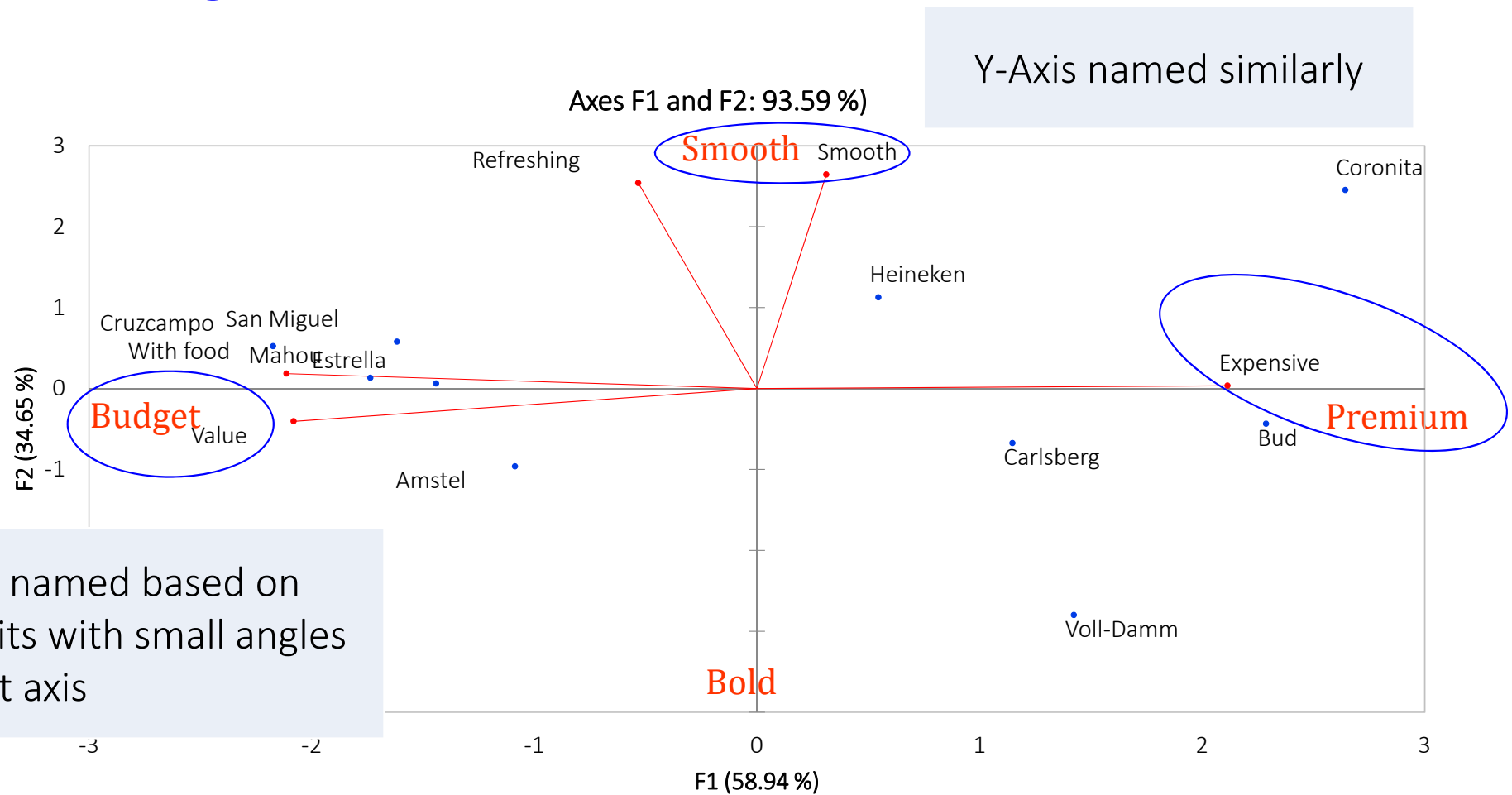
Unpacking the map



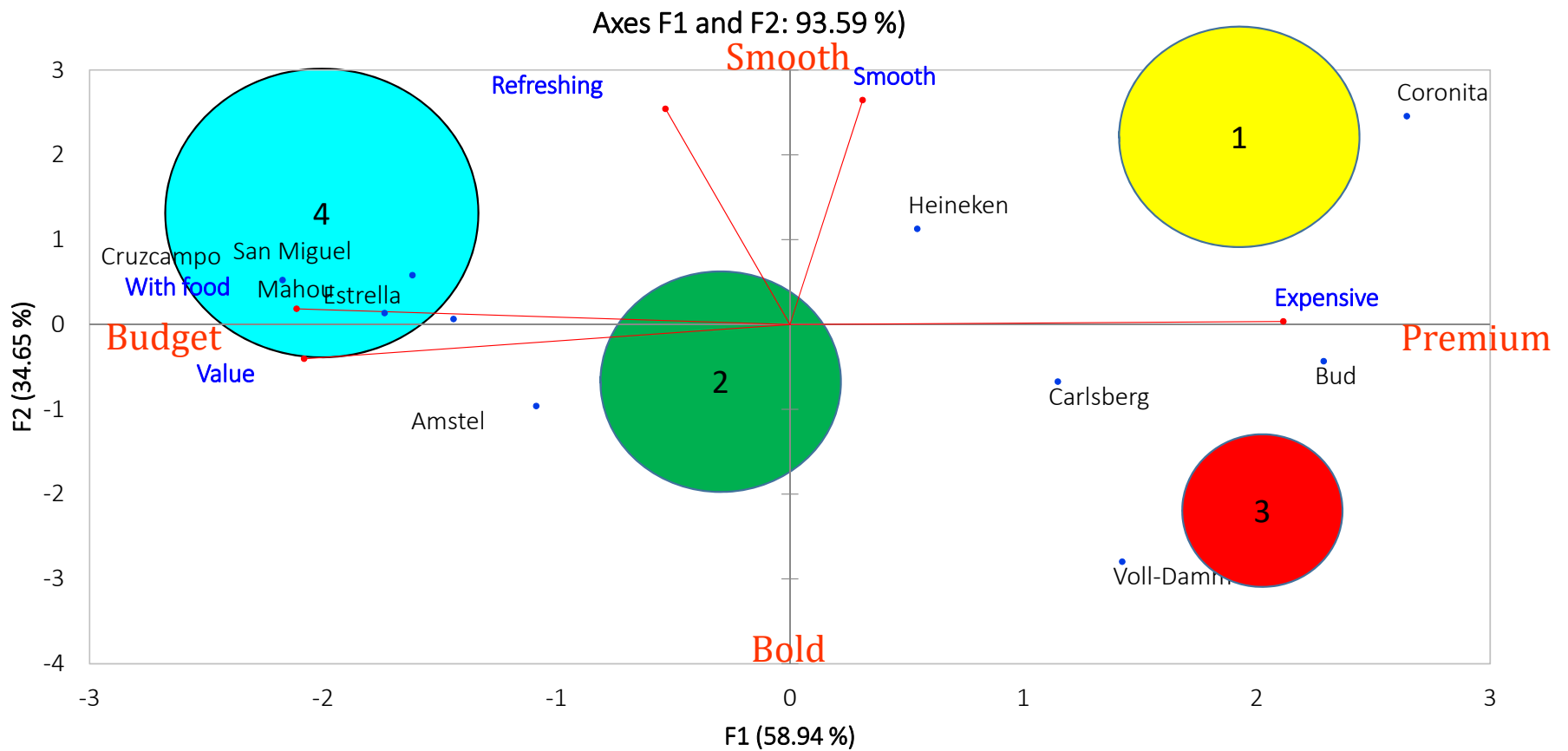
So when we simplified the map, why did we give the axes the “Smooth-Bold”, “Premium-Budget” labels?



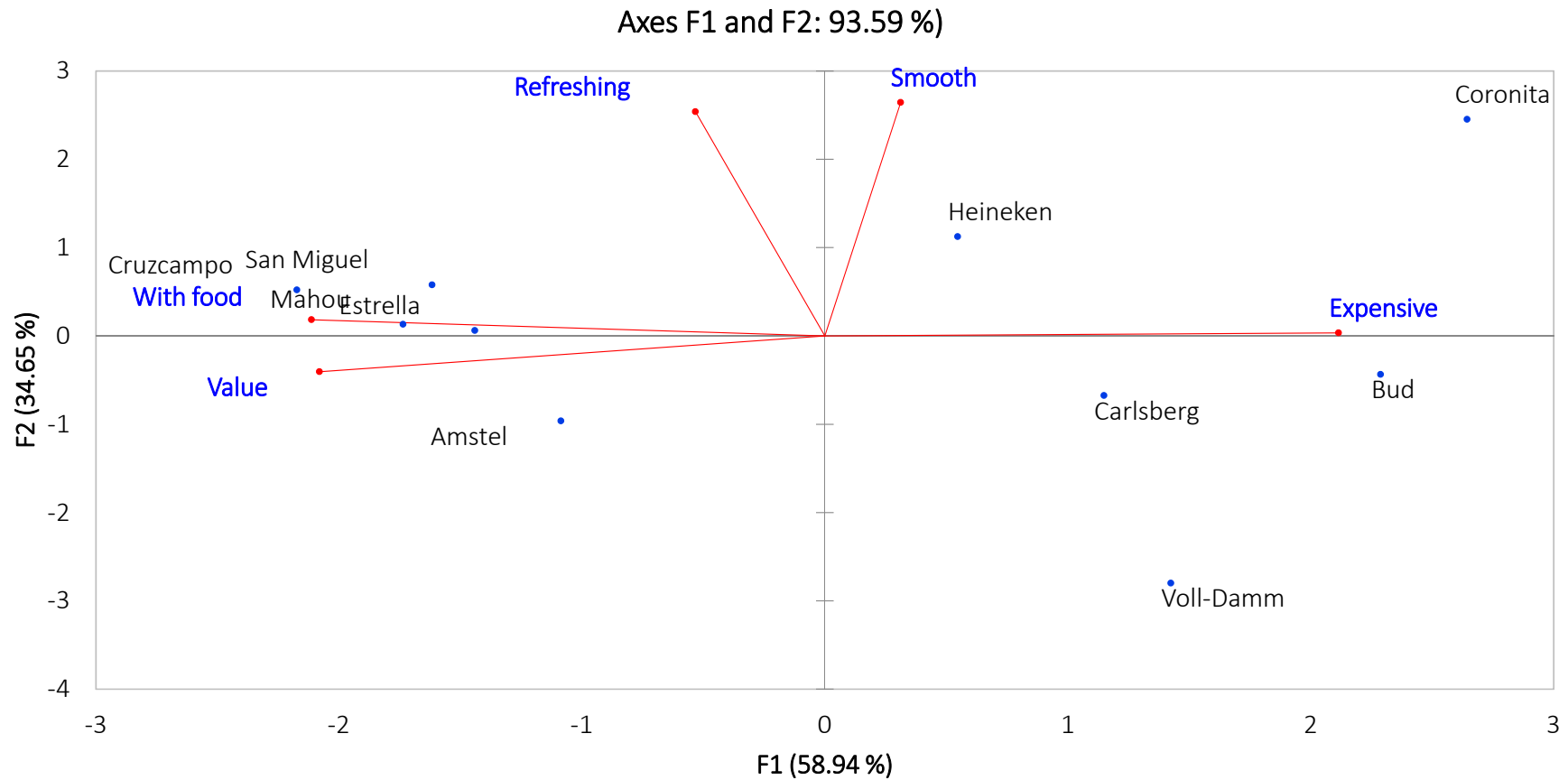
1) Naming the axes



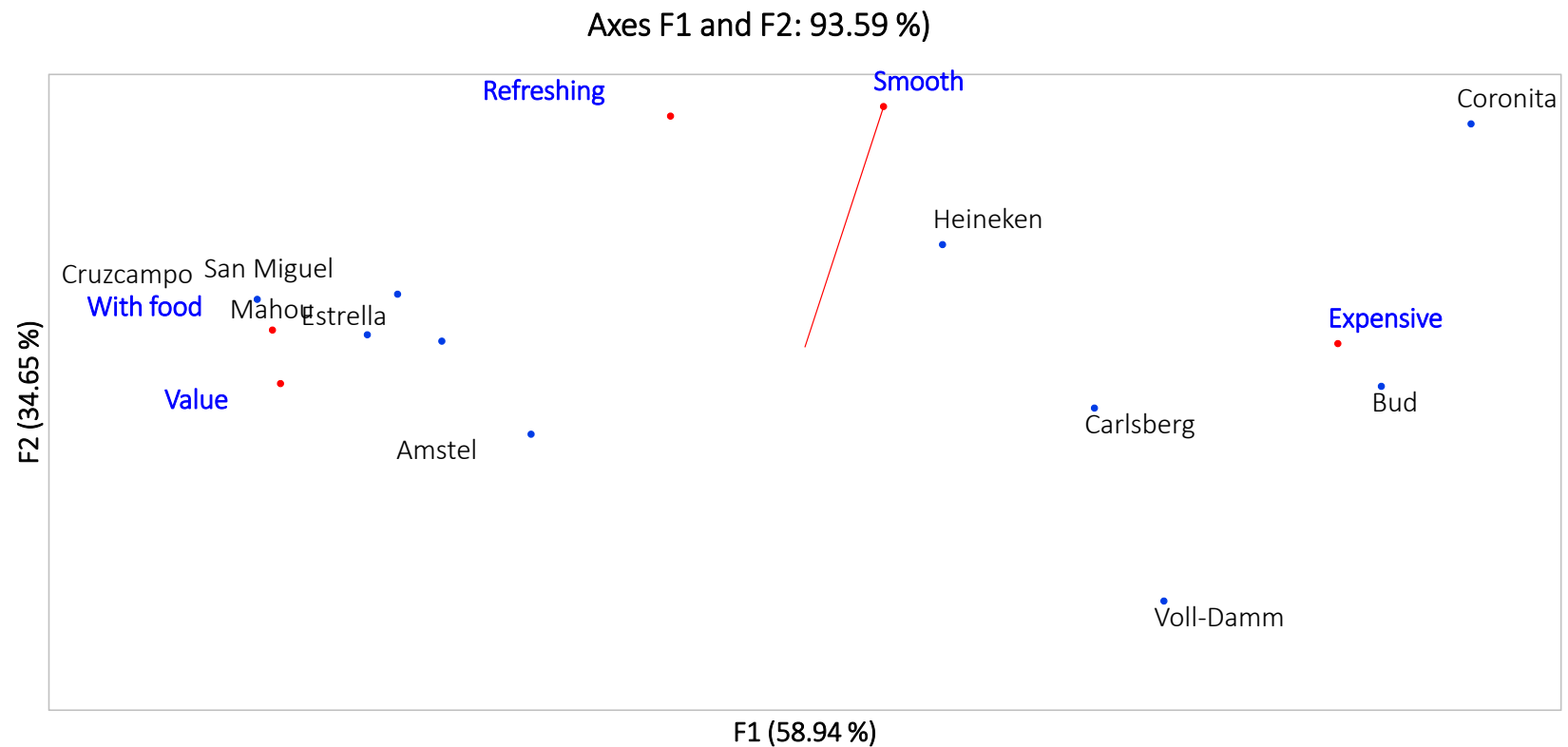
2) What is *perceived* as the most expensive beer?



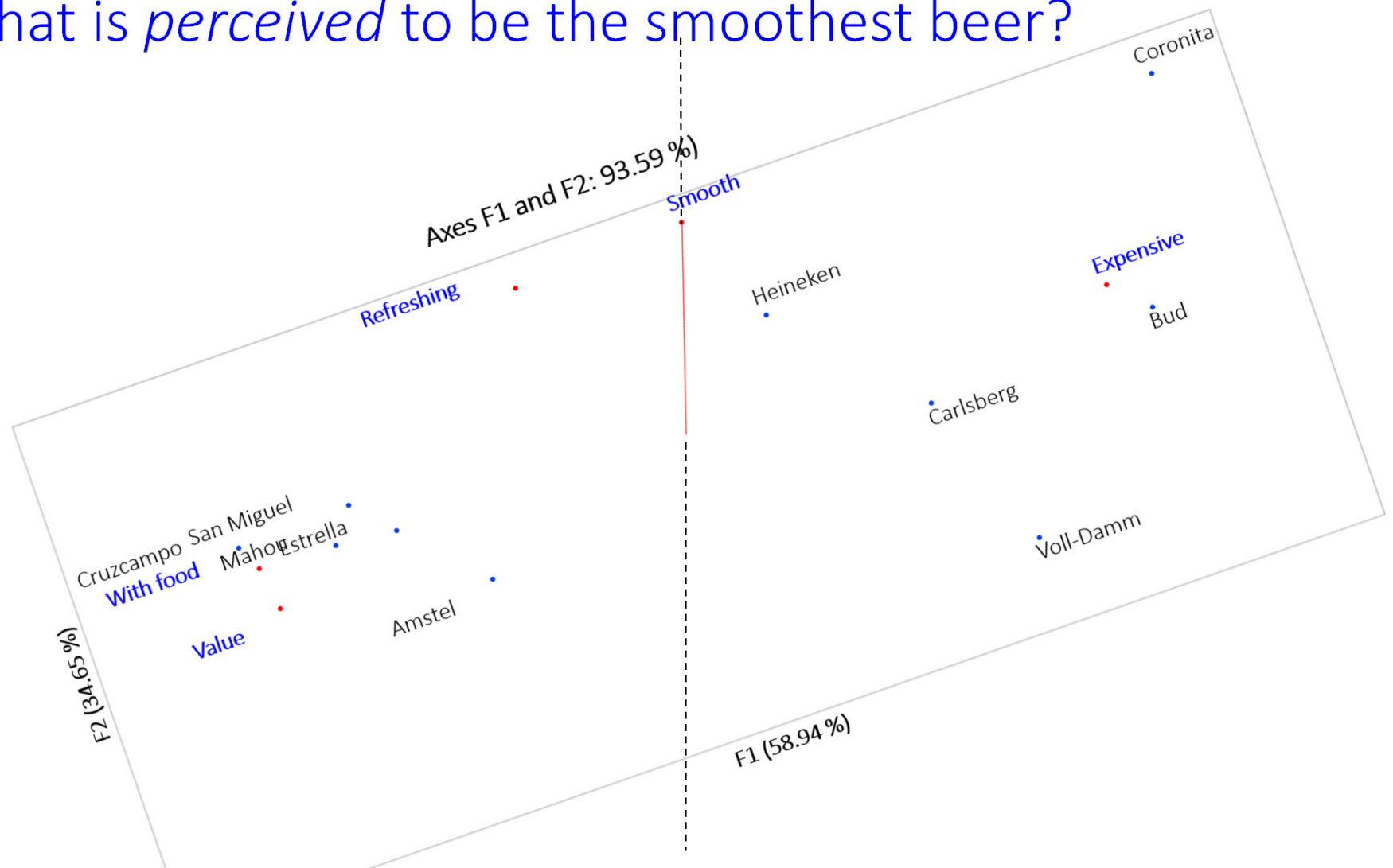
What is *perceived* as the most expensive beer?



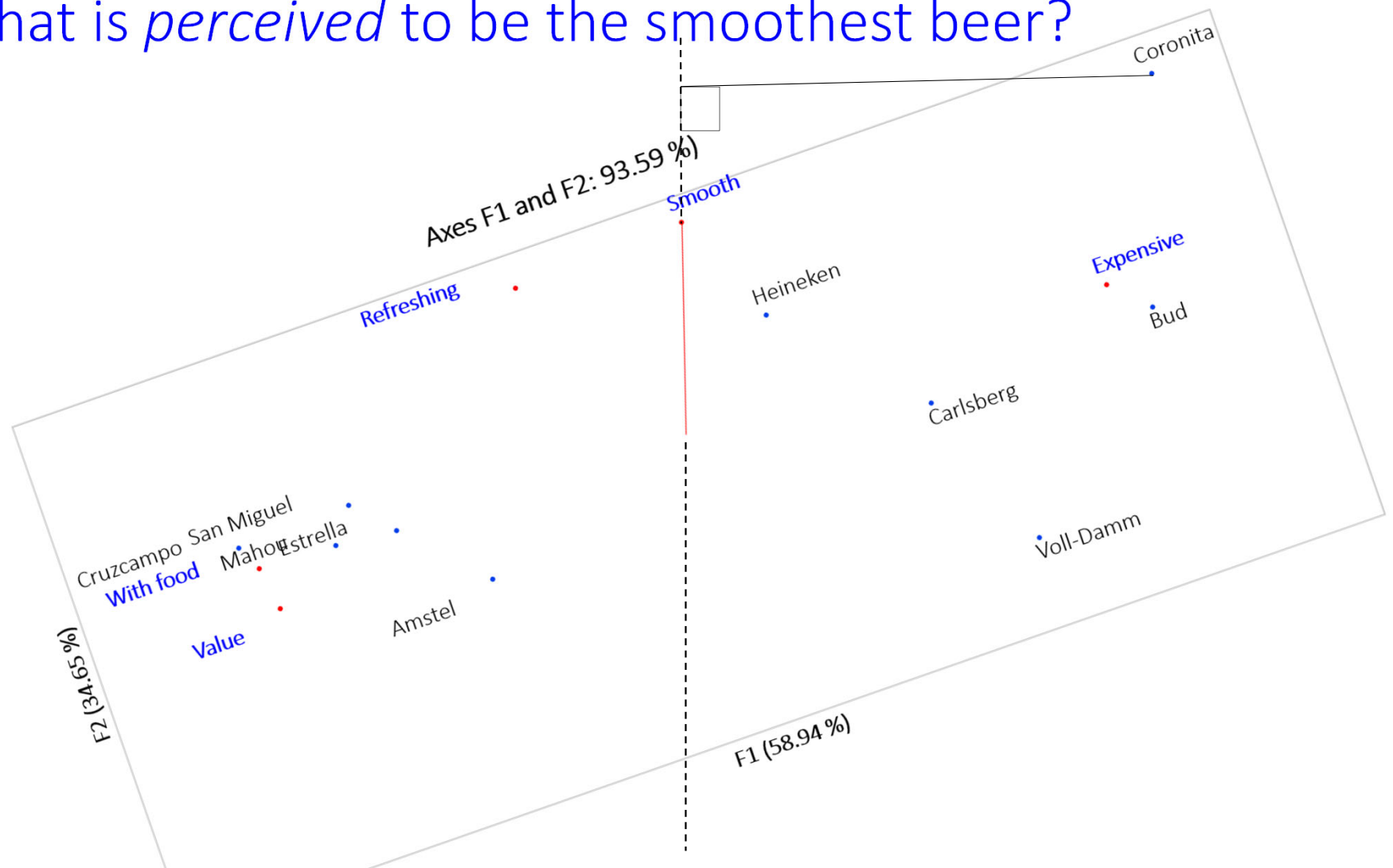
What is *perceived* to be the smoothest beer?



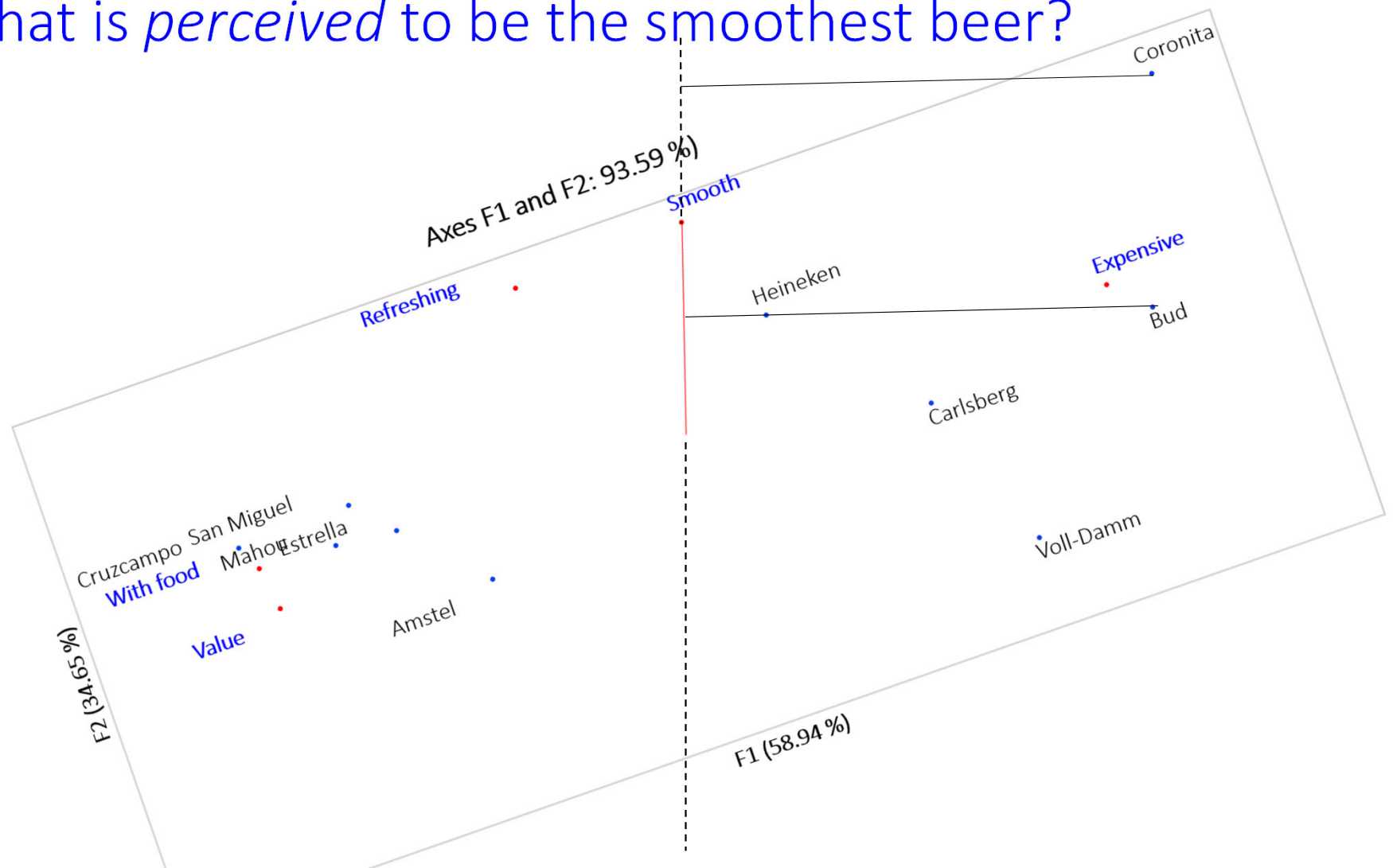
What is *perceived* to be the smoothest beer?



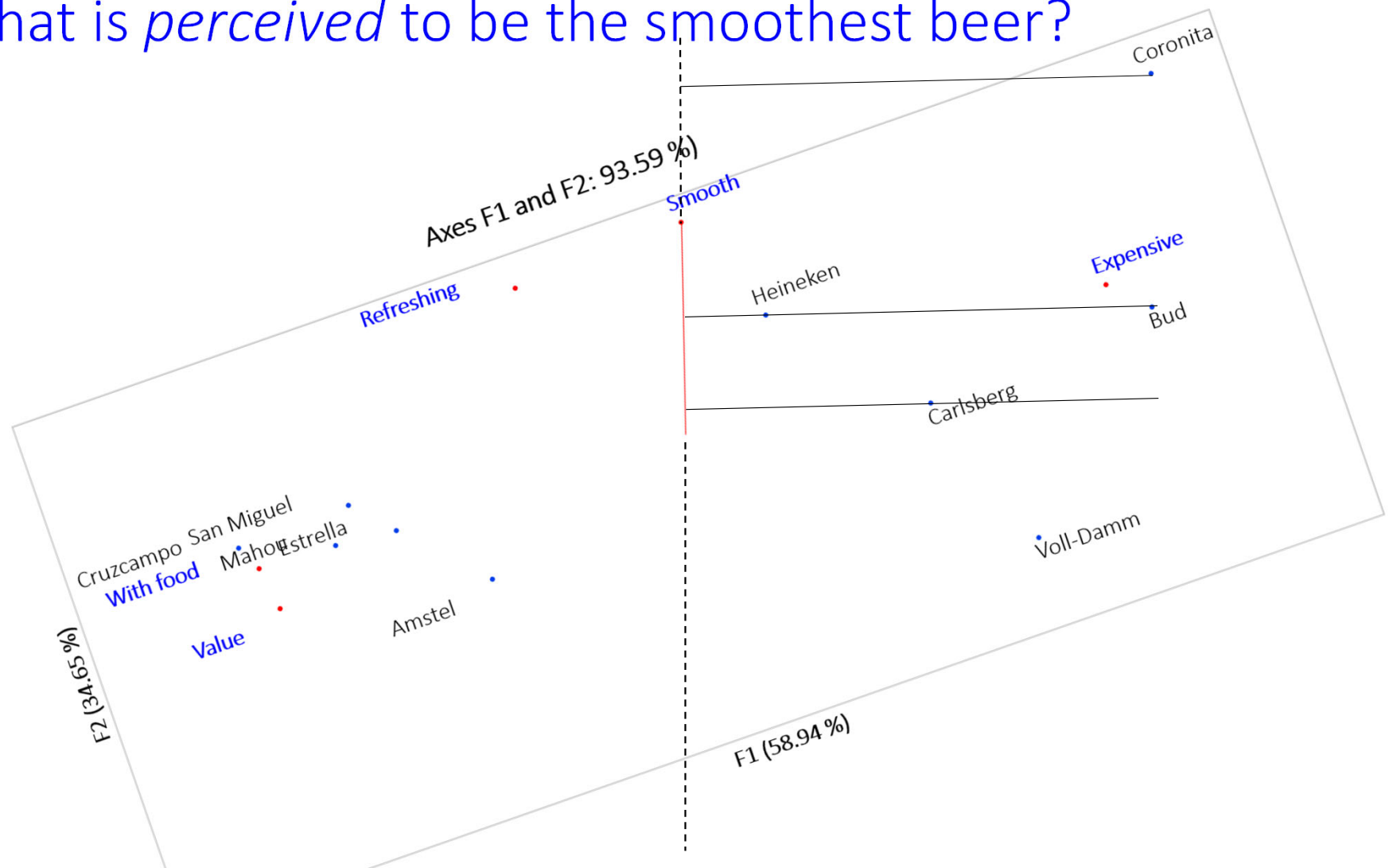
What is *perceived* to be the smoothest beer?



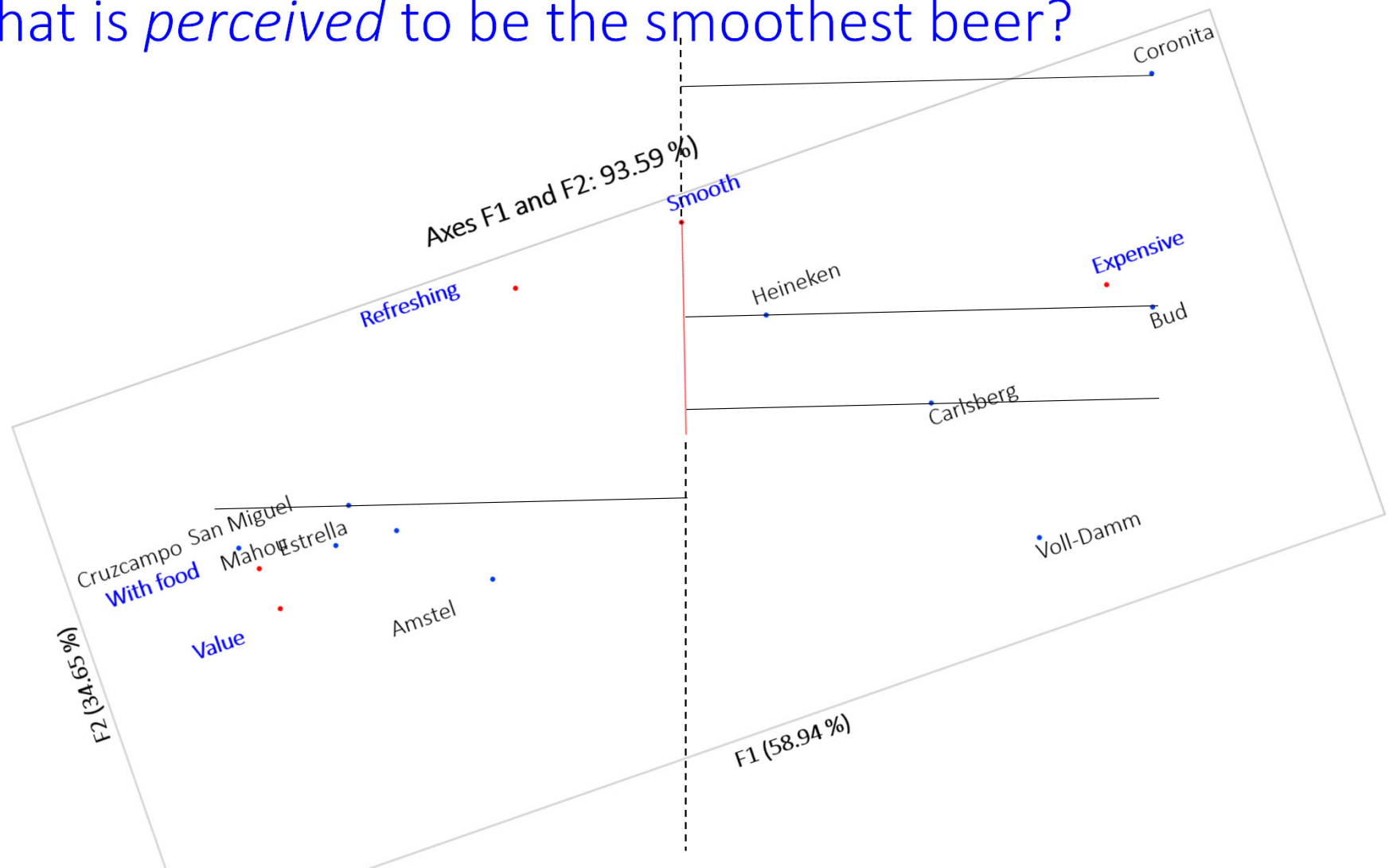
What is *perceived* to be the smoothest beer?



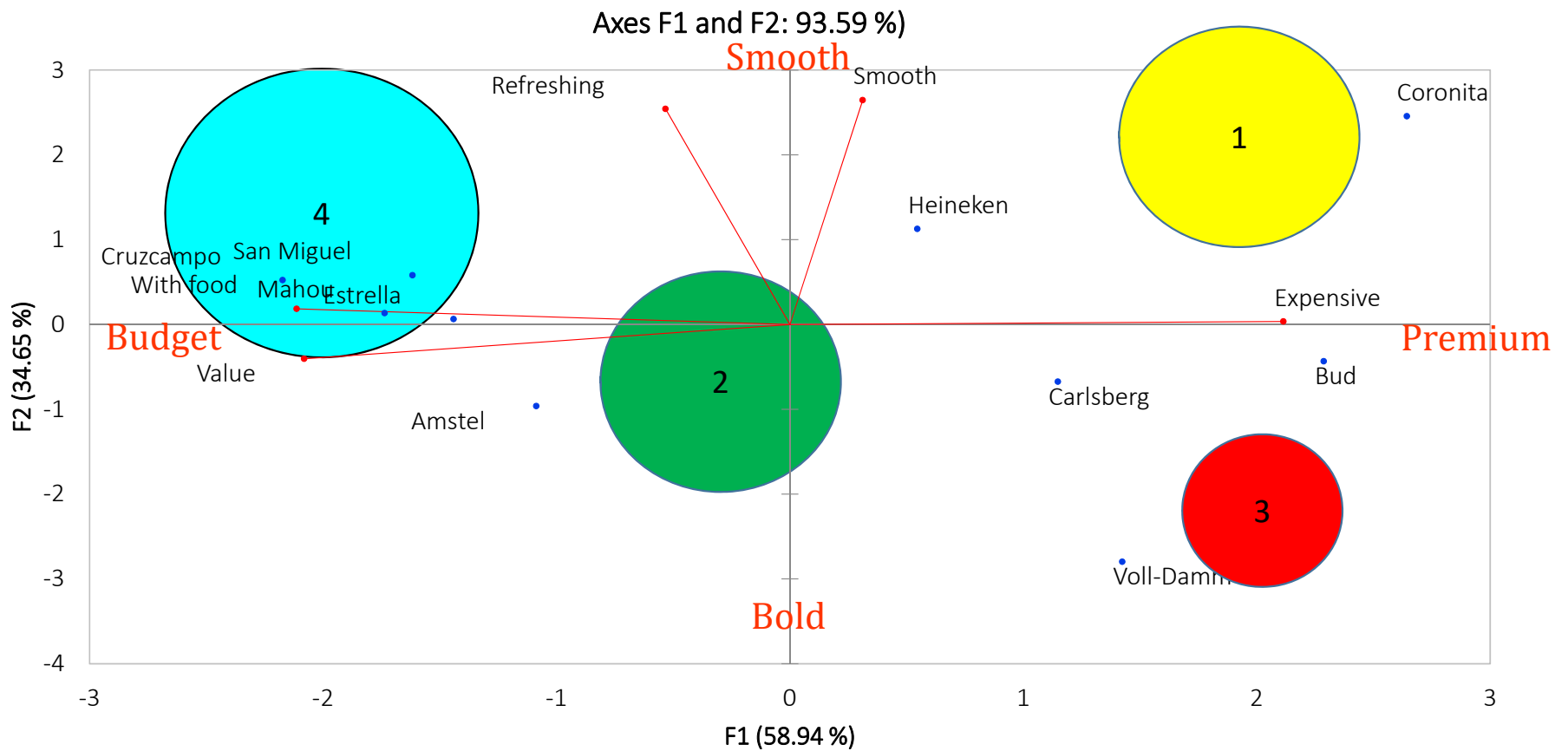
What is *perceived* to be the smoothest beer?



What is *perceived* to be the smoothest beer?



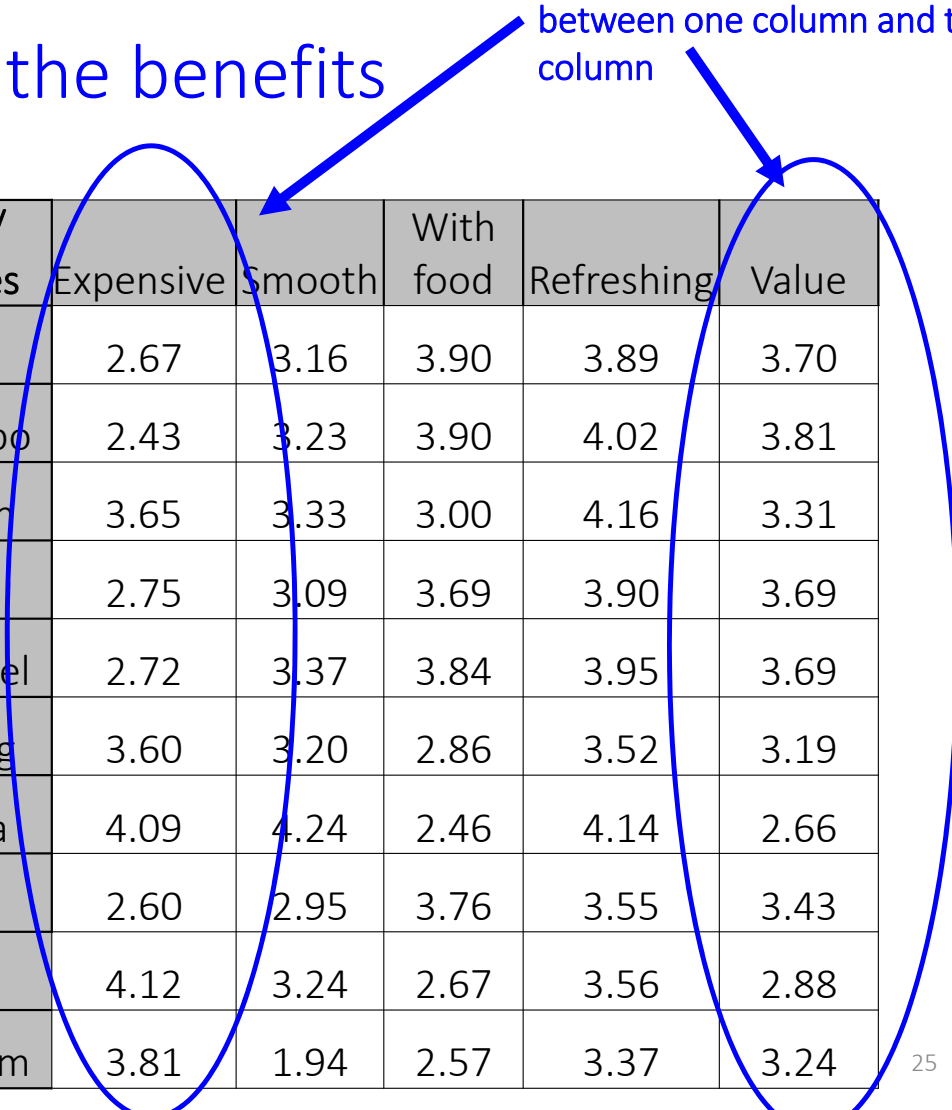
We can interpret brand locations along all 5 benefits!



3) Interpreting angles between the benefits

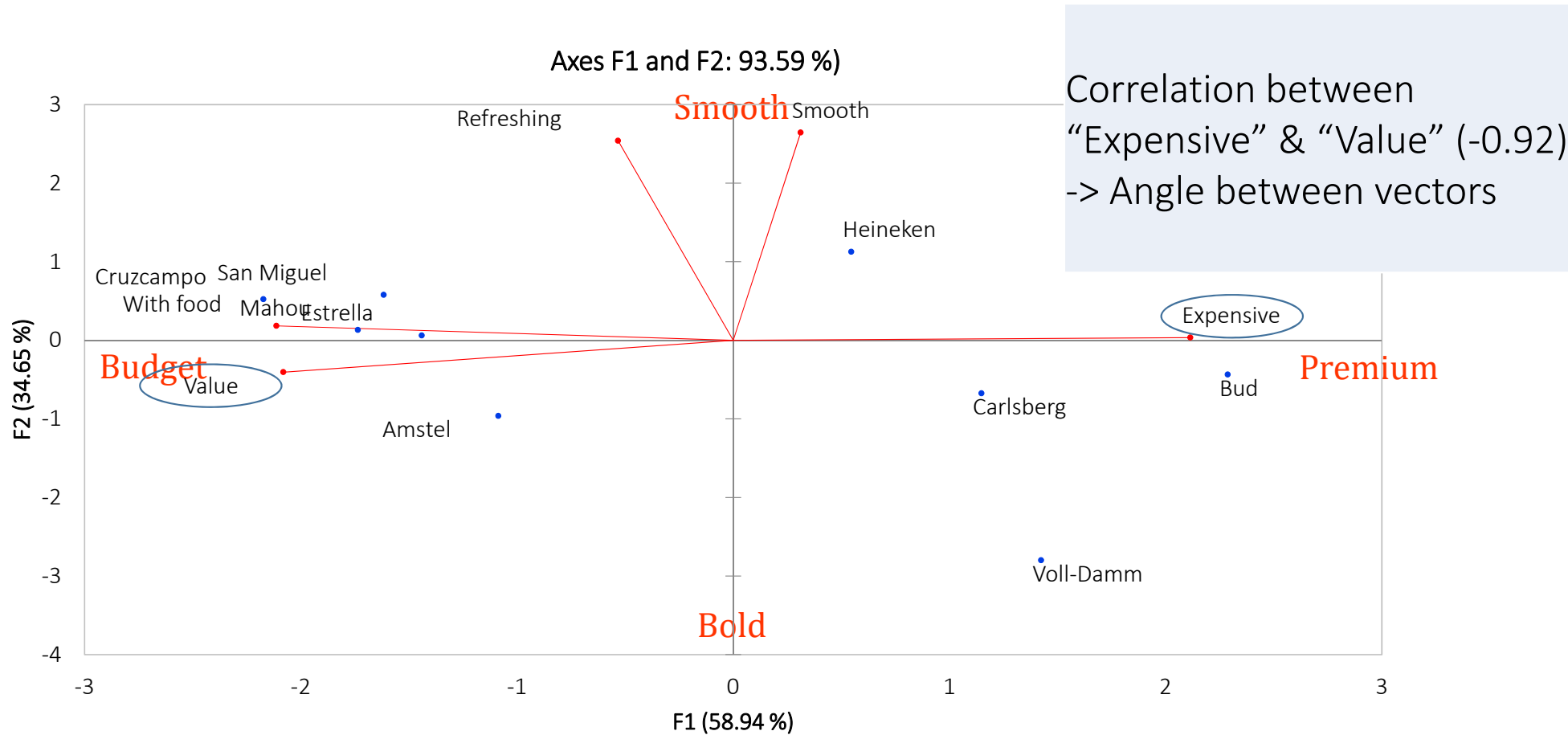
How is the correlation between “Expensive” & “Value” represented?

Suppose I compute the correlation between one column and the other column

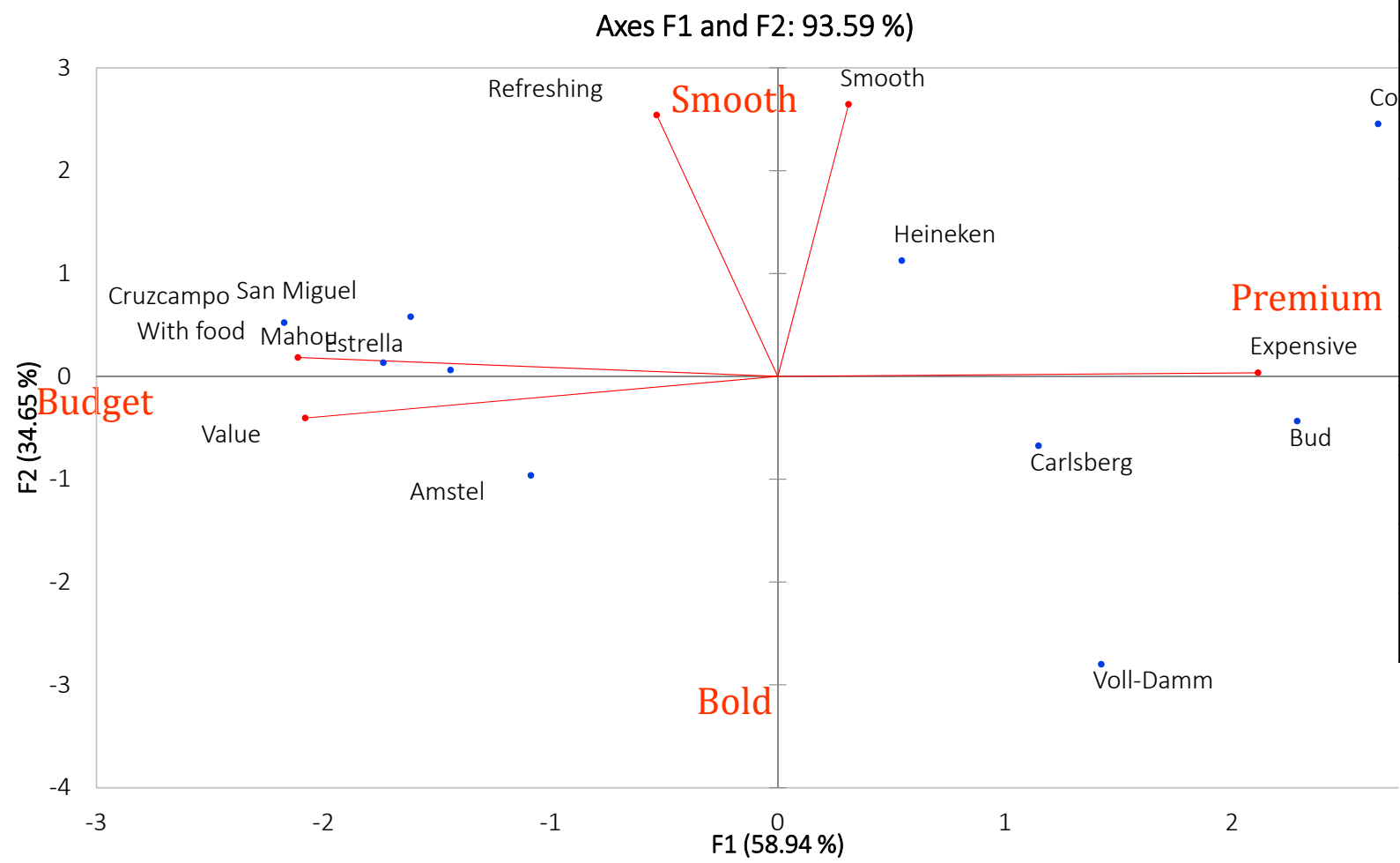


Brands / Attributes	Expensive	Smooth	With food	Refreshing	Value
Mahou	2.67	3.16	3.90	3.89	3.70
Cruzcampo	2.43	3.23	3.90	4.02	3.81
Heineken	3.65	3.33	3.00	4.16	3.31
Estrella	2.75	3.09	3.69	3.90	3.69
San Miguel	2.72	3.37	3.84	3.95	3.69
Carlsberg	3.60	3.20	2.86	3.52	3.19
Coronita	4.09	4.24	2.46	4.14	2.66
Amstel	2.60	2.95	3.76	3.55	3.43
Bud	4.12	3.24	2.67	3.56	2.88
Voll-Damm	3.81	1.94	2.57	3.37	3.24

Interpreting angles between the benefits



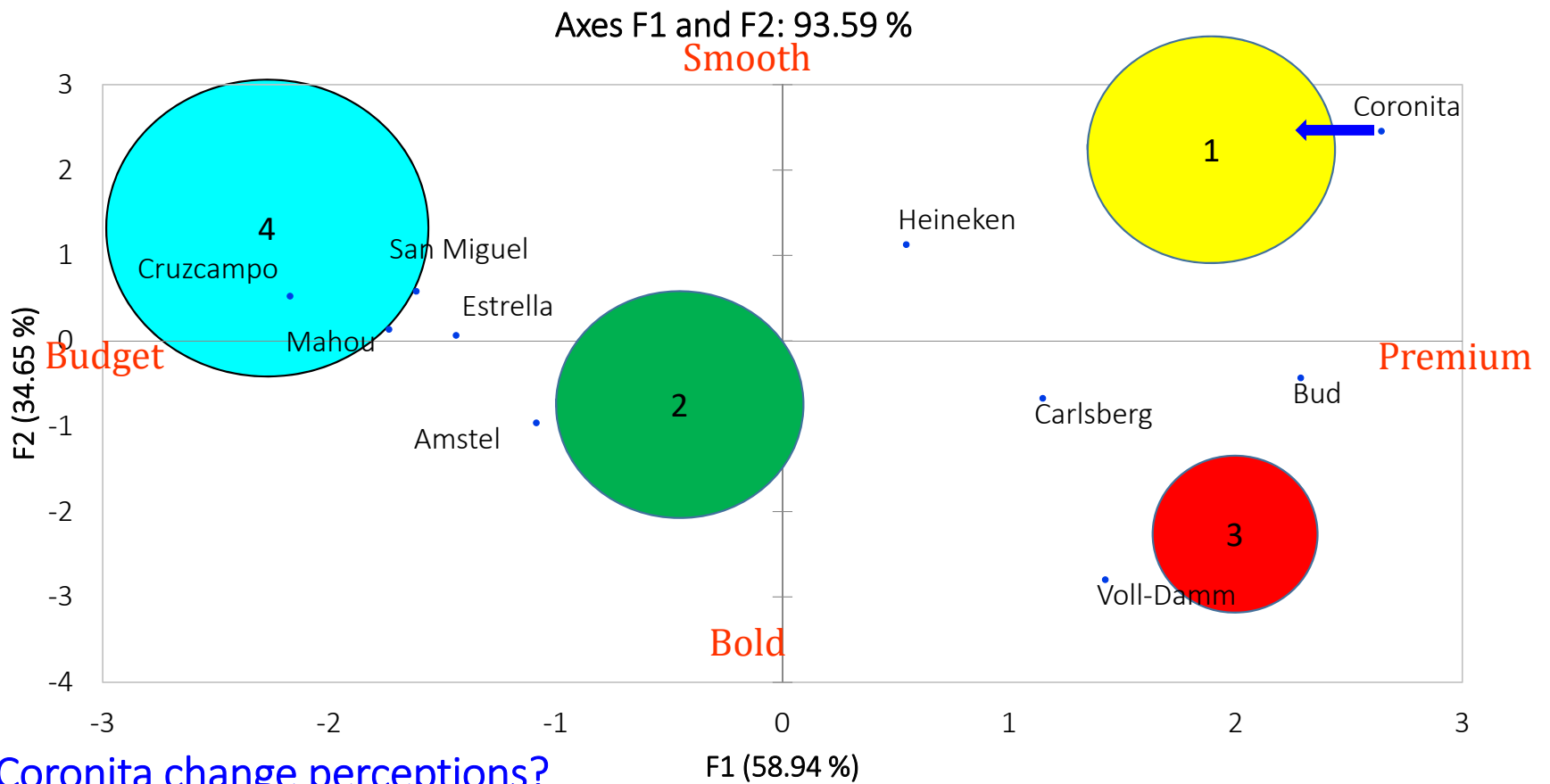
4) Interpreting the arrow lengths



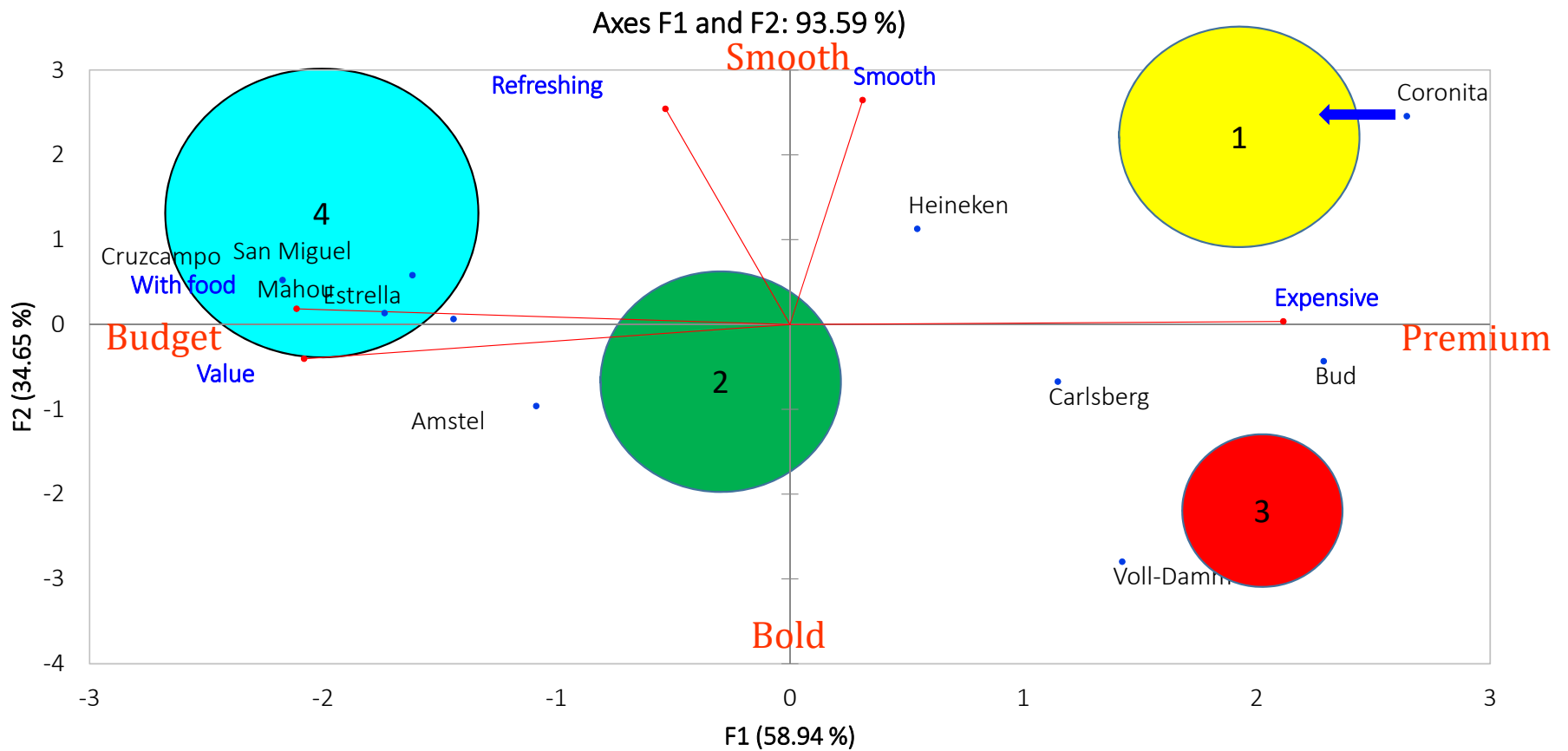
Brands / Attributes	Expensive	Smooth
Mahou	2.67	3.16
Cruzcampo	2.43	3.23
Heineken	3.65	3.33
Estrella	2.75	3.09
San Miguel	2.72	3.37
Carlsberg	3.60	3.20
Coronita	4.09	4.24
Amstel	2.60	2.95
Bud	4.12	3.24
Voll-Damm	3.81	1.94

Variance in scores of brands along “Expensive” > variance along “Smooth” -> Importance? (.45, .31)

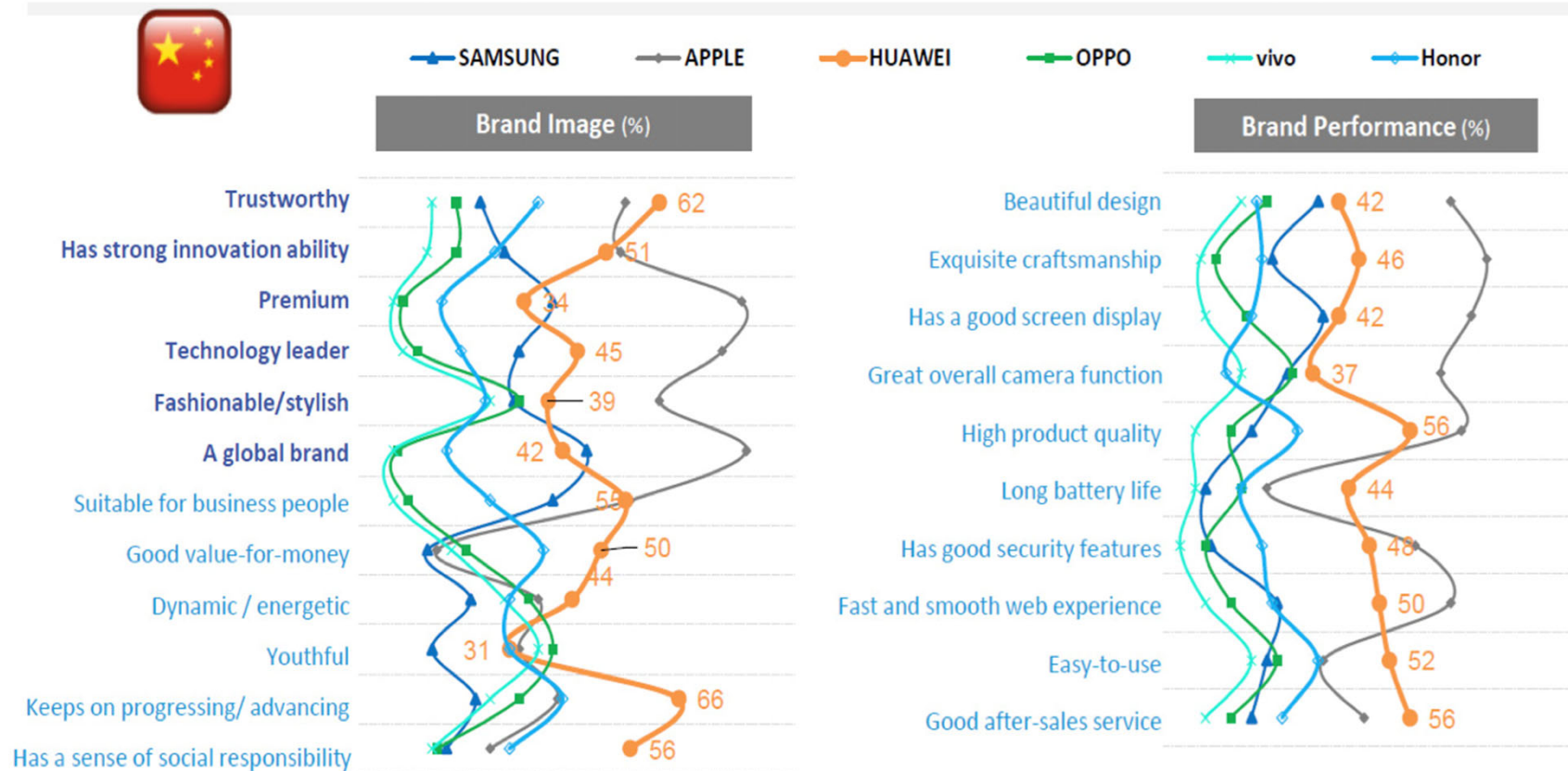
Back to Coronita's problem?



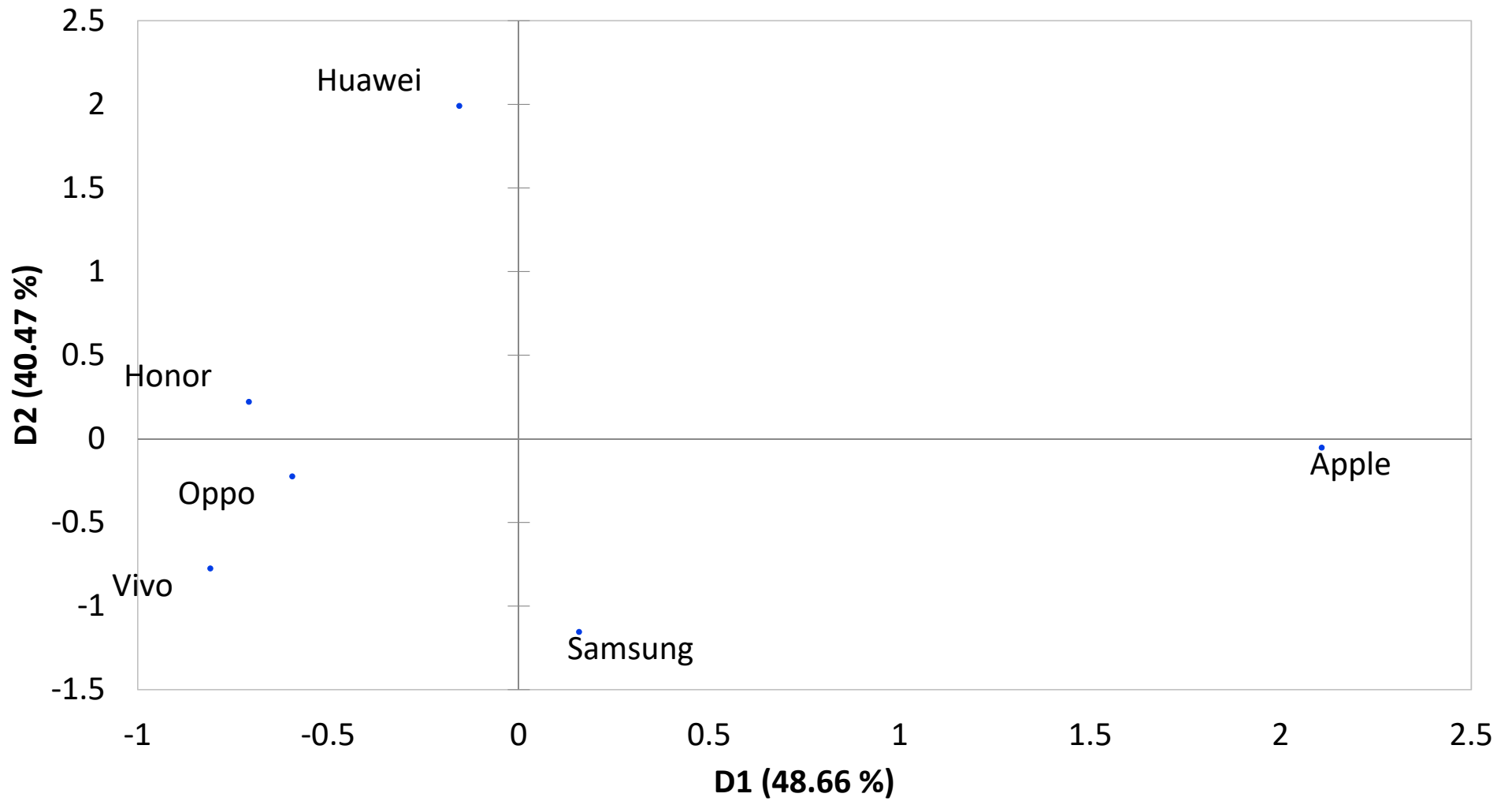
What can Coronita do for its messaging?



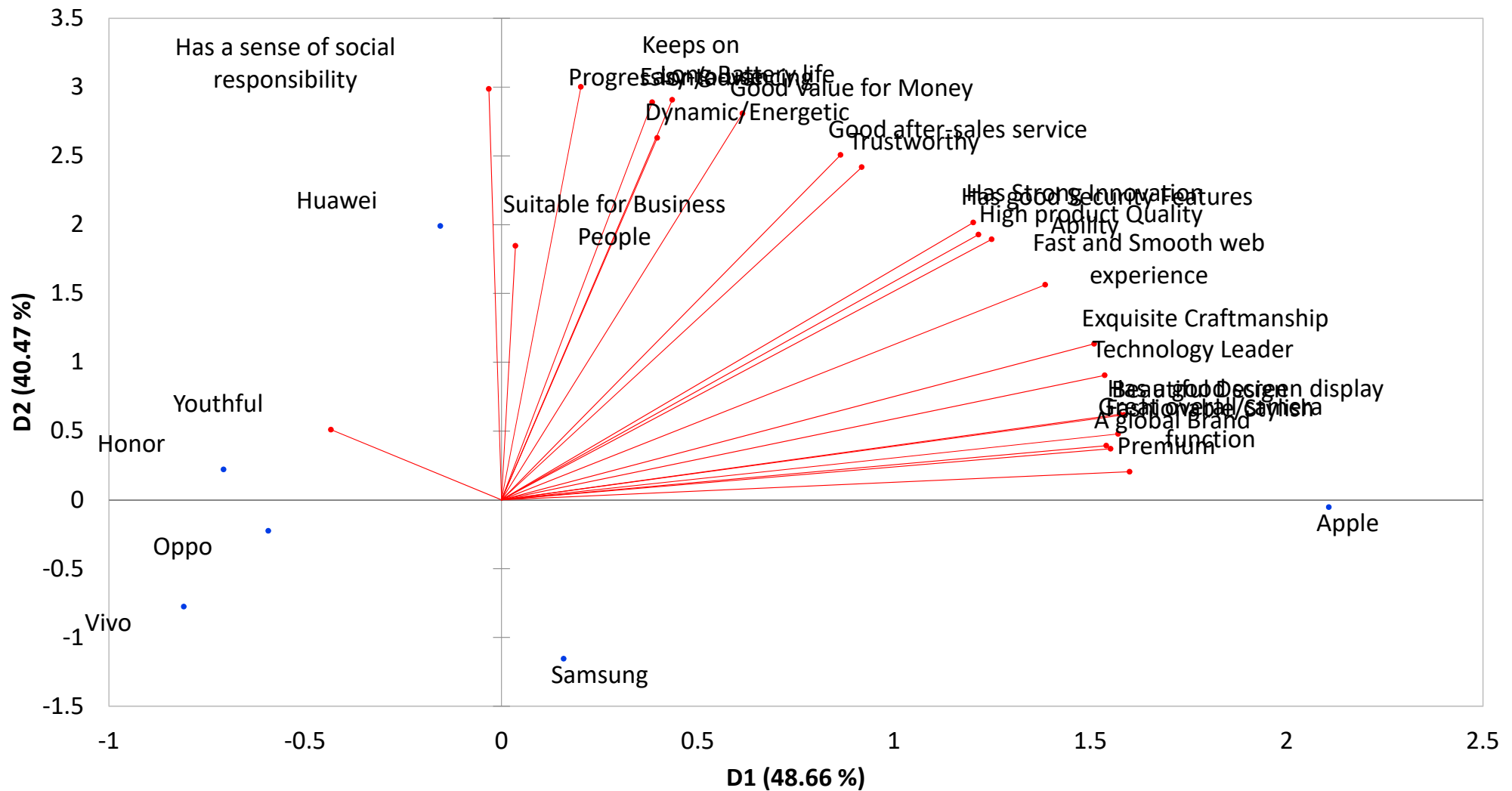
Perceptions when there more than 2 benefits: Huawei



Observations (axes D1 and D2: 89.13 %)



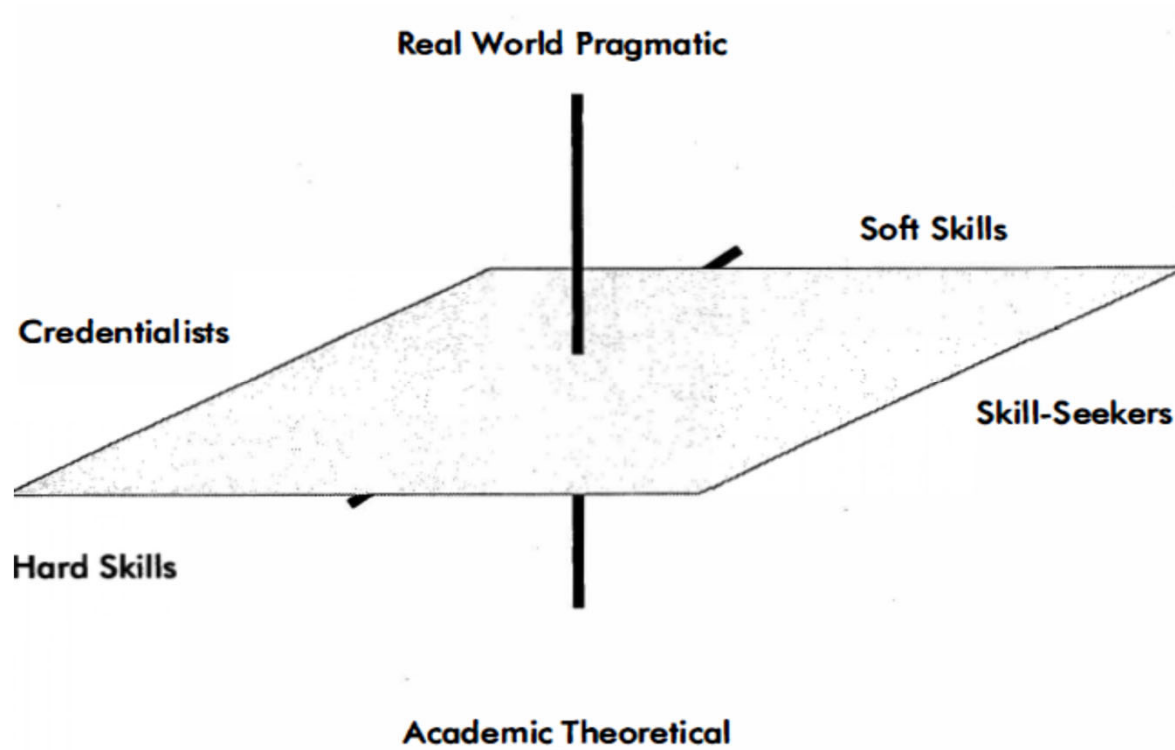
Biplot (axes D1 and D2: 89.13 %)



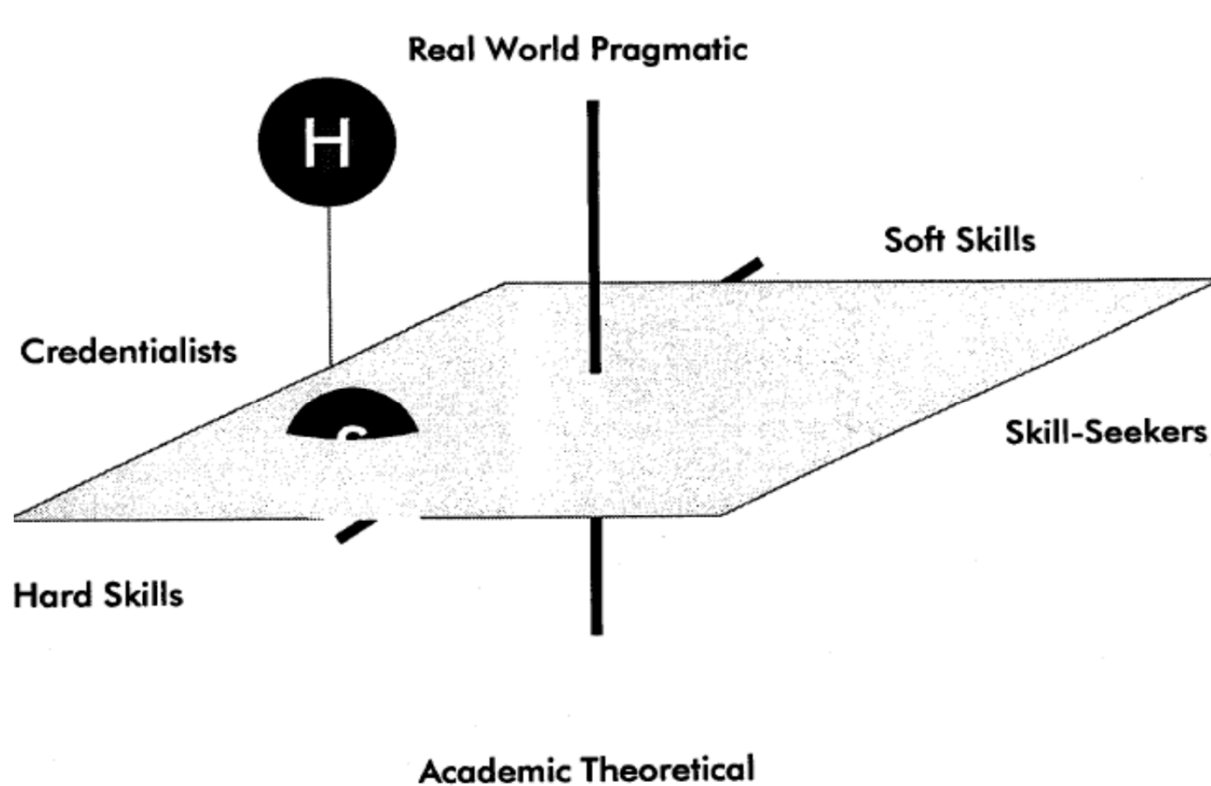
Positioning over the years

1999

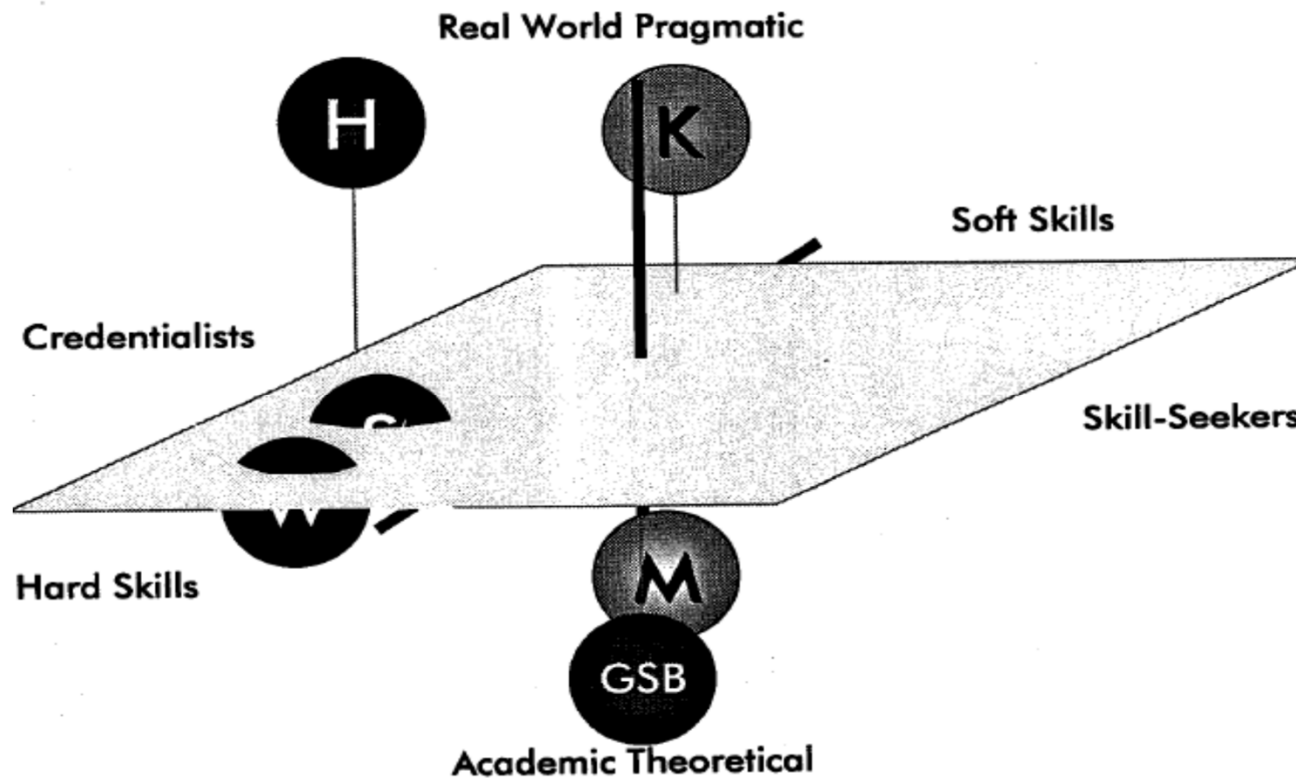
3 key perceptual dimensions



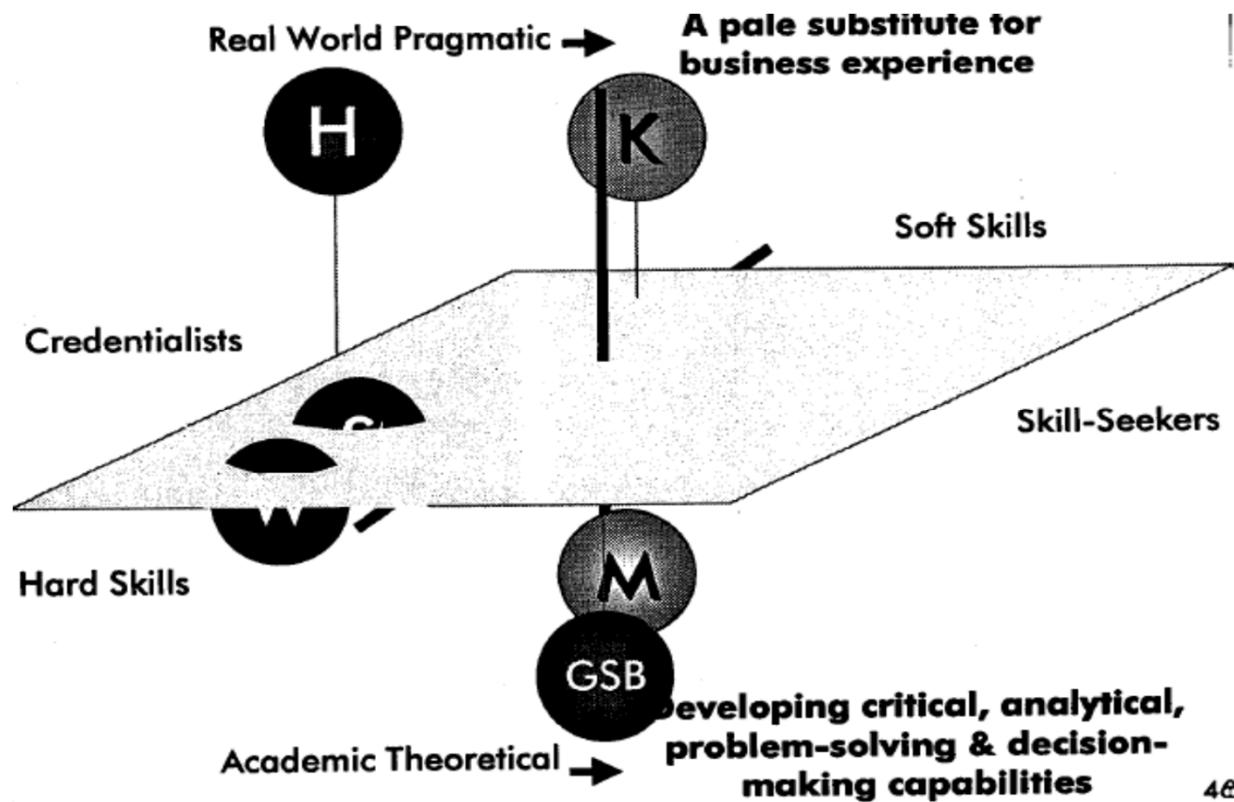
HBS: CEO School with great network, brand, location



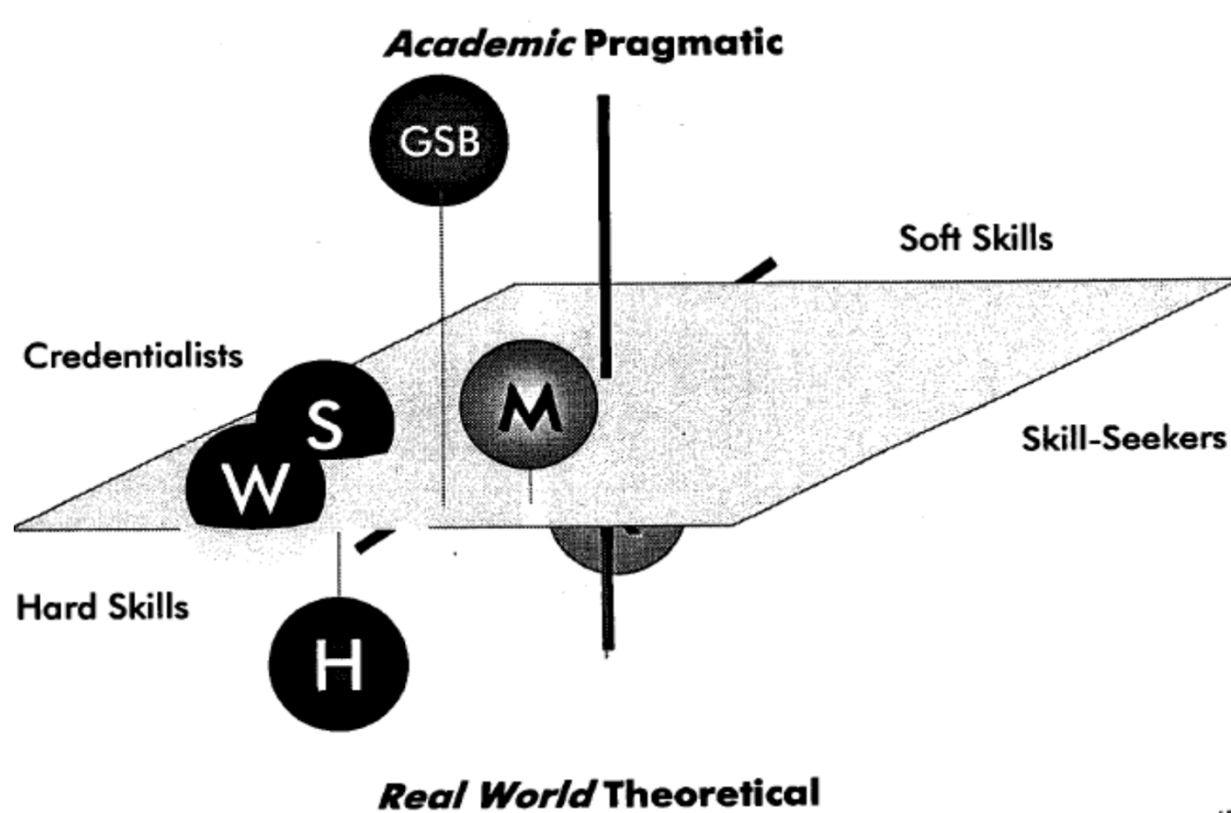
MIT: Technology, management, finance
GSB (Booth): Finance, academic, quant



Recasting the critical dimension



Overturing the paradigm!



Reframing the debate

- The GSB has been called academic. Some people take that to mean disconnected from reality.
- What is unrealistic is to replicate the business experience in the classroom. At best what results is a pale reflection of reality. At worst what results is discourse that is steps behind and dimensions removed from reality .
- It makes equally little sense to simply transfer skills and expose the theories of the day. What is known today is often irrelevant tomorrow.

Repositioning the brand

- The GSB delivers a rigorous transformation in the very way you think. We will prepare you to engineer your own success in the face of relentless change.

Redefining MBA Value

- You will be faster to define the barriers in your path, quicker to get the essential reality of the situation, and better equipped to engineer successful outcomes--because you will be a better business thinker.
- The ability to think better than your peers is the one advantage that will contribute to your success every day of your business life. And that is the lasting legacy of an education from the GSB.

2010

Harvard Business School

The first name in business (schools)

Unparalleled
classroom
experience
built on case
studies

Connected
to the world
of practice

Developing
Leaders /
The CEO
Perspective

Messaging building blocks

A business **force** (not just a business school)

Unparalleled
intellectual:
curiosity, honesty,
exchange, & rigor

Ideas that
fundamentally
shape
markets & business

People
who create
lasting value

Chicago Booth: An even greater force

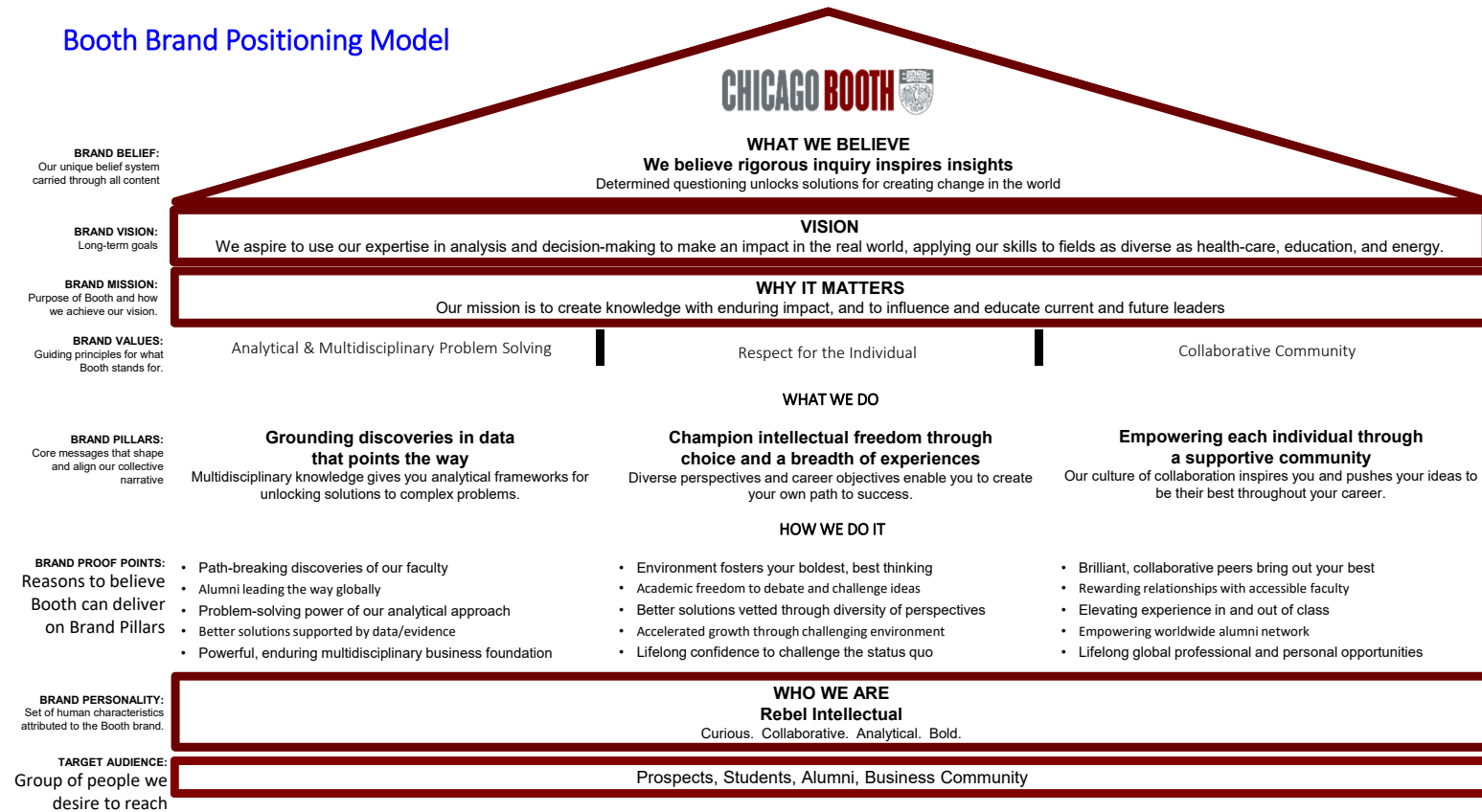


Even More

- Transformative thought leaders
- Breakthrough ideas
- Business leaders
- Entrepreneurial
- Alumni engagement
- Financial vitality
- Global
- Famous – Strong Reputation
- Courageous
- Unparalleled Impact

2020

Booth Brand Positioning Model



Marketing Model

The Marketing Model helps us to understand audience experience over their entire life cycle with the Booth brand and to provide a framework to develop thematic creative messaging, channel prioritization, and KPIs.

MARKETING OBJECTIVE / KPI	AWARENESS	CONSIDERATION		CONVERSION			AFFILIATION	ADVOCACY
OBJECTIVE DEFINED	Extent to which audiences recognize and understands the Booth Brand	Active expression of interest in Booth.		Taking the desired action to engage with Booth			Officially experiencing the Brand on a regular basis.	Support and recommend Chicago Booth
AUDIENCE	Prospects Business Community	Prospects Business Community		Prospects Business Community			Alumni Students Business Community	Alumni Students Business Community
AUDIENCE NEEDS	<i>Prospects:</i> Should I get an MBA? Where should I get an MBA? <i>General Population:</i> What is the best business school? Where can I get the best information on business, policy, and markets?	<i>Prospects:</i> Why should I get an MBA? Why should I chose Booth?	<i>Prospects:</i> What are the steps to get my MBA? What opportunities will an MBA provide? What is my universe of options? <i>General Pop:</i> Why do I care about Booth?	<i>Prospects:</i> Where will I apply? What MBA program is the best fit for me? Is the ROI worth it?	<i>Prospects:</i> How can I be the most desirable candidate for Booth?	<i>Prospects:</i> Which school is the best fit for me? <i>General Pop:</i> Why do I care about Booth?	<i>Alumni:</i> Does Booth care about me? How can I stay engaged with the school? <i>Students:</i> What is my personal role within the Booth community? Does Booth care about me? <i>General Pop:</i> What does Booth mean for me?	<i>Alumni:</i> How does Booth make my life better? How can I tell the Booth story? <i>Students:</i> How does Booth make my life better? How can I tell the Booth story? <i>General Pop:</i> How can I tell the Booth story?
COMMUNICATIONS OBJECTIVE	INFORM with the Booth Brand message	EDUCATE about the Chicago Booth point of difference	DEMONSTRATE relevance to audience	CLARIFY the programs and lifestyle	SUPPORT and build foundation for long-term relationship	CAPTIVATE the audience	BUILD the relationship	ENGAGE in meaningful ways

Prospect Journey: Example of how an Audience Journey fits within the Marketing Model

MARKETING OBJECTIVE / KPI	AWARENESS	CONSIDERATION		CONVERSION			AFFILIATION	ADVOCACY
OBJECTIVE DEFINED	Extent to which audiences recognize and understands the Booth Brand	Active expression of interest in Booth.		Taking the desired action to engage with Booth			Officially experiencing the Brand on a regular basis.	Support and recommend Chicago Booth
AUDIENCE	Prospects General Population	Prospects General Population		Prospects General Population			Alumni Students General Population	Alumni Students General Population
PROSPECT JOURNEY		CONTEMPLATE	RESEARCH	FILTER	PREPARE	COMMIT		
PROSPECT DECISIONS		Pursue MBA	Short list Booth	Confirm desire to attend Booth	Submit application	Accept offer		
AUDIENCE NEEDS	<i>Prospects:</i> Should I get an MBA? Where should I get an MBA? <i>General Population:</i> What is the best business school? Where can I get the best information on business, policy, and markets?	<i>Prospects:</i> Why should I get an MBA? Why should I chose Booth?	<i>Prospects:</i> What are the steps to get my MBA? What opportunities will an MBA provide? What is my universe of options? <i>General Pop:</i> Why do I care about Booth?	<i>Prospects:</i> Where will I apply? What MBA program is the best fit for me? Is the ROI worth it?	<i>Prospects:</i> How can I be the most desirable candidate for Booth?	<i>Prospects:</i> Which school is the best fit for me? <i>General Pop:</i> Why do I care about Booth?	<i>Alumni:</i> Does Booth care about me? How can I stay engaged with the school? <i>Students:</i> What is my personal role within the Booth community? Does Booth care about me? <i>General Pop:</i> What does Booth mean for me?	<i>Alumni:</i> How does Booth make my life better? How can I tell the Booth story? <i>Students:</i> How does Booth make my life better? How can I tell the Booth story? <i>General Pop:</i> How can I tell the Booth story?
COMMUNICATIONS OBJECTIVE	INFORM with the Booth Brand message	EDUCATE about the Chicago Booth point of difference	DEMONSTRATE relevance to audience	CLARIFY the programs and lifestyle	SUPPORT and build foundation for long-term relationship	CAPTIVATE the audience	BUILD the relationship	ENGAGE In meaningful ways

Chicago Booth Approach to Marketing: Positioning Idea

The Chicago Approach to marketing grounds students in the core disciplines of economics, psychology, and statistics. This foundational knowledge equips students with essential scientific tools and analytical frameworks that prepare them to formulate effective strategies, make optimized decisions, and effectively lead in today's rapidly evolving, data-driven business climate.

50 YEARS AGO, WE REVOLUTIONIZED FINANCE. NOW WE'RE ON TO MARKETING.

In 1960, we created the first comprehensive stock market database, and transformed finance from a guild into a science. Now we're the academic home of Nielsen Homescan data, the foremost collection of product purchase information. So get ready for history to be made all over again, as we illuminate this data with our breakthrough thinking in decision research, economics, psychology, and networks. It's a new day for marketing – which is exactly what you'd expect from the business school that's a *business force*.



The University of Chicago Booth School of Business
CHICAGO LONDON SINGAPORE CHICAGOBOOTH.EDU

WHAT KIND OF MARKETERS CREATE DURABLE VALUE AS WELL AS BUZZ?

CHICAGO BOOTH MARKETERS. Our legendary pursuit of deeper understanding, our breakthroughs in behavioral economics, and our insights from the most comprehensive marketing database in the academic world converge to produce the best kind of marketers: those who drive innovation and alignment throughout their organizations. And that's one reason why we're more than a business school. We're a *business force*.



The University of Chicago Booth School of Business
CHICAGO LONDON SINGAPORE CHICAGOBOOTH.EDU